

COVER SHEET

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S.E.C. Registration Number

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(Company's Full Name)

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(Business Address: No. Street City / Town / Province)

GIGI ILUMINADA T. MIGUEL

Contact Person

0917-1547-921

Company Telephone Number

SEC Form 17-Q

0	9
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Month Day
Fiscal Year

S	T	O	C	K
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FORM TYPE

0	4
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Month Day
Annual Meeting

N/A

Secondary License Type, If Applicable

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Dept. Requiring this Doc.

Article VII (on August 2020)

Amended Articles Number/Section

883

Total No. of Stockholders

Total Amount of Borrowings

₱71.34 billion

Domestic

₱40.50 billion

Foreign

To be accomplished by SEC Personnel concerned

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File Number

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Document I.D.

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Cashier

**SECURITIES AND EXCHANGE COMMISSION
SEC FORM 17-Q
ANNUAL REPORT PURSUANT TO SECTION 17
OF THE SECURITIES REGULATION CODE AND SECTION 141
OF THE CORPORATION CODE OF THE PHILIPPINES**

1. **For the fiscal year ended:** September 30, 2025
2. **SEC Identification Number:** A1996-11593
3. **BIR Tax Identification Code:** 005-038-428
4. **Name of Registrant as specified in its charter:** Manila Water Company, Inc.
5. **Province, country or other jurisdiction of incorporation or organization:** Quezon City, Philippines
6. **Industry Classification Code:** _____ (SEC Use Only)
7. **Address of principal office:** MWSS Administration Building, No. 489 Katipunan Road, Balara, Quezon City, Philippines, 1105
8. **Registrant's telephone number:** 0917-1547-921
9. **Former name, former address, and formal fiscal year:** N/A
10. **Securities registered pursuant to Sections 8 and 12 of the Securities Regulation Code (SRC):**

- a. Shares of stock

Title of Each Class	Number of Shares
Authorized capital stock	
Common shares (₱1.00 par value)	3,100,000,000
Preferred shares (₱0.10 par value)	4,000,000,000
Number of shares outstanding	
Common shares (₱1.00 par value)	2,601,499,272*
Preferred shares (₱0.10 par value)	3,563,756,068*

**Excludes the treasury shares that were acquired by the Company.*

Amount of debt outstanding as of September 30, 2025: ₱111.84 billion (bank borrowings and bonds)

- b. Debt securities
None. The Company has no other registered securities either in the form of shares, debt or otherwise.

11. **Are any of Registrant's securities listed in a Stock Exchange?** Yes ☒ No ☐

12. **Indicate by check mark whether the registrant:**

- a. Has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)
Yes ☒ No ☐
- b. Has been subject to such filing requirements for the past ninety (90) days.
Yes ☒ No ☐

PART I – FINANCIAL INFORMATION

- I. Financial Statements
- II. Management's Discussion and Analysis of Results of Operations and Financial Condition

MANILA WATER COMPANY, INC. AND SUBSIDIARIES
INTERIM CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
(Amounts in Thousands)

	September 30, 2025 Unaudited	December 31, 2024 Audited
ASSETS		
Current Assets		
Cash and cash equivalents (Note 6)	P6,119,510	P7,436,738
Receivables (Note 7)	4,508,667	3,488,676
Contract assets - current portion (Notes 5 and 7)	495,070	348,073
Inventories	478,846	448,634
Other current assets (Note 8)	2,131,696	2,071,916
Total Current Assets	13,733,789	13,794,037
Noncurrent Assets		
Property, plant and equipment and software (Note 5)	9,455,605	9,512,197
Service concession assets (Notes 5 and 9)	199,242,764	184,257,465
Right-of-use assets (Note 5)	454,791	503,360
Contract assets - net of current portion (Notes 5 and 7)	1,441,302	1,349,738
Investments in associates (Note 5)	7,355,214	7,186,264
Goodwill (Note 5)	146,377	146,377
Deferred tax assets - net	426,144	503,289
Other noncurrent assets (Note 5)	9,417,019	10,690,815
Total Noncurrent Assets	227,939,216	214,149,505
	P241,673,005	P227,943,542
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts and other payables	P17,317,289	P20,683,110
Short-term debt (Note 10)	9,334,274	250,000
Current portion of:		
Long-term debt (Note 10)	8,129,464	6,969,973
Service concession obligations	779,095	636,645
Contract liabilities	578,053	502,678
Lease liabilities	115,795	96,510
Income tax payable	1,172,241	717,439
Total Current Liabilities	37,426,211	29,856,355
Noncurrent Liabilities		
Noncurrent portion of:		
Long-term debt (Note 10)	94,377,118	99,212,003
Service concession obligations	15,410,705	14,474,471
Contract liabilities	1,247,657	1,189,013
Lease liabilities	261,645	305,096
Pension liabilities – net	530,805	500,169
Deferred tax liabilities – net	4,455,613	3,138,320
Provisions	769,033	694,285
Other noncurrent liabilities	1,251,228	1,238,801
Total Noncurrent Liabilities	118,303,804	120,752,158
Total Liabilities	155,730,015	150,608,513

(Forward)

	September 30, 2025 Unaudited	December 31, 2024 Audited
Equity		
Attributable to equity holders of Manila Water Company, Inc.:		
Capital stock:		
Common stock	P2,885,796	P2,885,796
Preferred stock	400,000	400,000
	3,285,796	3,285,796
Additional paid-in capital	14,552,117	14,532,720
Treasury shares:		
Common stock	(4,861,432)	(4,949,053)
Preferred stock	(752,978)	(752,978)
Subscriptions receivable	(5,527,529)	(5,601,286)
Total paid-up capital (Note 13)	6,695,974	6,515,199
Retained earnings:		
Appropriated	59,515,564	59,515,564
Unappropriated	17,025,900	9,831,766
Cumulative translation adjustment	128,480	(616,535)
Hedging reserves (Note 18)	311,094	359,367
Remeasurement loss on defined benefit plans	(165,124)	(228,371)
Equity in other comprehensive income (loss) of associates	(688)	7,099
Other equity reserves	(144,458)	(144,458)
	83,366,742	75,239,631
Noncontrolling interests	2,576,248	2,095,398
Total Equity	85,942,990	77,335,029
	P241,673,005	P227,943,542

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

MANILA WATER COMPANY, INC. AND SUBSIDIARIES

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(Amounts in Thousands Except Earnings per Share Figures)

	Quarters Ended September 30		Periods Ended September 30	
	2025	2024	2025	2024
CONTINUING OPERATIONS				
REVENUE FROM CONTRACTS WITH CUSTOMERS				
Water and used water revenues (Note 15)	₱9,490,837	₱8,683,338	₱28,294,817	₱26,045,906
Other operating revenues (Notes 11 and 15)	509,789	465,918	1,586,737	1,363,177
FINANCE INCOME FROM CONTRACT ASSETS (Note 7)	56,347	43,613	170,964	137,983
	10,056,973	9,192,869	30,052,518	27,547,066
COSTS OF SERVICES				
Depreciation and amortization	1,157,785	1,161,973	3,420,534	3,274,208
Power, light and water	534,523	606,697	1,696,368	1,819,059
Salaries, wages and employee benefits	355,116	348,337	1,033,183	1,026,250
Regulatory costs	129,188	118,692	384,088	360,164
Contractual services	128,042	116,346	403,399	311,571
Repairs and maintenance	99,923	100,236	413,719	390,275
Water treatment chemicals	95,677	133,918	233,135	302,219
Amortization of water service connections	50,448	37,265	141,417	132,065
Wastewater costs	46,485	55,361	147,160	163,281
Collection fees	28,366	41,425	80,267	121,415
Water tankering and bulk water	20,804	(46,609)	79,384	150,729
Other expenses	186,358	106,910	404,653	398,691
	2,832,715	2,780,551	8,437,307	8,449,927
GROSS PROFIT	7,224,258	6,412,318	21,615,211	19,097,139
OPERATING EXPENSES (Note 11)	1,466,583	1,430,382	4,183,844	4,032,226
INCOME BEFORE OTHER INCOME (EXPENSES)	5,757,675	4,981,936	17,431,367	15,064,913
OTHER INCOME (EXPENSES)				
Revenue from rehabilitation works	6,093,259	6,567,710	16,912,152	16,237,206
Cost of rehabilitation works	(6,093,259)	(6,567,710)	(16,912,152)	(16,237,206)
Interest expense (Note 11)	(881,775)	(902,882)	(2,495,515)	(2,730,796)
Foreign exchange gains (losses) – net	(1,258,255)	1,478,636	(253,376)	(590,464)
Foreign currency differentials	1,243,008	(1452,565)	256,716	870,537
Equity share in net income of associates	121,843	79,001	376,826	293,909
Interest income (Note 11)	53,917	104,031	194,863	302,165
Gain on disposal of associate (Note 4)	1,069,099	–	1,069,099	–
Gains (losses) on disposal of property and equipment – net	1,132	(253)	4,637	(83)
Other income - net (Notes 5 and 11)	20,812	68,164	396,990	497,563
	369,781	(625,868)	(449,760)	(1,357,169)
INCOME BEFORE INCOME TAX FROM CONTINUING OPERATIONS	6,127,456	4,356,068	16,981,607	13,707,744
PROVISION FOR INCOME TAX - NET (Note 12)	1,257,969	1,026,274	3,833,508	3,217,354
NET INCOME FROM CONTINUING OPERATIONS	4,869,487	3,329,794	13,148,099	10,490,390
NET LOSS FROM DISCONTINUED OPERATIONS	(84)	(856)	(496)	(1,319)
NET INCOME	₱4,869,403	₱3,328,938	₱13,147,603	₱10,489,071
OTHER COMPREHENSIVE INCOME (LOSS)				
<i>Other comprehensive income (loss) to be reclassified to profit or loss in subsequent periods:</i>				
Cumulative translation adjustment	₱54,488	₱517,375	₱745,015	(₱99,026)
Gain (loss) on cash flow hedge (Note 18)	(21,455)	254,032	(64,364)	(64,831)
Income tax effect	5,364	(63,508)	16,091	16,208
	38,397	707,899	696,742	(147,649)
<i>Other comprehensive income (loss) not to be reclassified to profit or loss in subsequent periods:</i>				
Actuarial gain (loss) on pension liabilities	6,758	–	84,328	(48,937)
Equity share in other comprehensive income (loss) of associates	(12,012)	330	(7,787)	4,663
Income tax effect	(1,690)	–	(21,081)	12,234
	(6,944)	330	55,460	(32,040)
TOTAL COMPREHENSIVE INCOME	₱4,900,856	₱4,037,167	₱13,899,805	₱10,309,382

(Forward)

	Quarters Ended September 30		Periods Ended September 30	
	2025	2024	2025	2024
Net income attributable to:				
Equity holders of Manila Water Company, Inc.	₱4,709,810	₱3,188,029	₱12,666,753	₱10,102,596
Noncontrolling interests	159,593	140,909	480,850	386,475
	₱4,869,403	₱3,328,938	₱13,147,603	₱10,489,071
Total comprehensive income attributable to:				
Equity holders of Manila Water Company, Inc.	₱4,741,263	₱3,896,258	₱13,418,955	₱9,922,907
Noncontrolling interests	159,593	140,909	480,850	386,475
	₱4,900,856	₱4,037,167	₱13,899,805	₱10,309,382
Earnings Per Share before Discontinued Operations (Note 14)				
Net income attributable to common equity holders of Manila Water Company, Inc.:				
Basic	₱1.59	₱1.08	₱4.28	₱3.43
Diluted	₱1.59	₱1.08	₱4.28	₱3.43
Earnings Per Share (Note 14)				
Net income attributable to common equity holders of Manila Water Company, Inc.:				
Basic	₱1.59	₱1.08	₱4.28	₱3.43
Diluted	₱1.59	₱1.08	₱4.28	₱3.43

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

MANILA WATER COMPANY, INC. AND SUBSIDIARIES

UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

(Amounts in Thousands)

	September 30, 2025								
	Other Comprehensive Income								
	Paid-in Capital (Note 13)	Retained Earnings	Cumulative Translation Adjustments	Hedging Reserves (Note 18)	Remeasurement Gain (Losses) on Defined Benefit Plans and Long-term SL/VL	Equity Share in Other Comprehensive Income (Loss) of Associates	Other Equity Reserves (Note 13)	Noncontrolling Interests (NCI) (Note 13)	Total
Balance at beginning of period	₱6,515,199	₱ 69,347,330	(₱616,535)	₱359,367	(₱228,371)	₱7,099	(₱144,458)	₱2,095,398	₱77,335,029
Net income	–	12,666,753	–	–	–	–	–	480,850	13,147,603
Other comprehensive income (loss)	–	–	745,015	(48,273)	63,247	(7,787)	–	–	752,202
Total comprehensive income	–	12,666,753	745,015	(48,273)	63,247	(7,787)	–	480,850	13,899,805
Dividends declared	–	(5,472,619)	–	–	–	–	–	–	(5,472,619)
Collection of subscription receivable	73,757	–	–	–	–	–	–	–	73,757
Cost of share-based payments	107,018	–	–	–	–	–	–	–	107,018
Balance at end of period	₱6,695,974	₱76,541,464	₱128,480	₱311,094	(₱165,124)	(₱688)	(₱144,458)	₱2,576,248	₱85,942,990

	September 30, 2024								
	Other Comprehensive Income								
	Paid-in Capital (Note 13)	Retained Earnings	Cumulative Translation Adjustments	Hedging Reserves (Note 18)	Remeasurement Losses on Defined Benefit Plans	Equity Share in Other Comprehensive Loss of Associates	Other Equity Reserves (Note 13)	Noncontrolling Interests (NCI) (Note 13)	Total
Balance at beginning of period	₱6,385,974	₱62,217,749	₱741,911	(₱64,919)	(₱231,817)	₱2,734	(₱144,458)	₱1,212,269	₱70,119,443
Net income	–	10,102,596	–	–	–	–	–	386,475	10,489,071
Other comprehensive income (loss)	–	–	(147,649)	–	(36,703)	4,663	–	–	(179,689)
Total comprehensive income	–	10,102,596	(147,649)	–	(36,703)	4,663	–	386,475	10,309,382
Unwinding of cash flow hedge	–	–	–	64,919	–	–	–	–	64,919
Movements in NCI	–	–	–	–	–	–	–	502,830	502,830
Dividends declared	–	(3,370,090)	–	–	–	–	–	(128,248)	(3,498,338)
Cost of share-based payments	95,128	–	–	–	–	–	–	–	95,128
Balance at end of period	₱6,481,102	₱68,950,255	₱594,262	₱–	(₱268,520)	₱7,397	(₱144,458)	₱1,973,326	₱77,593,364

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

MANILA WATER COMPANY, INC. AND SUBSIDIARIES
UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CASH FLOWS
(Amounts in Thousands)

	Periods September 30	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax from continuing operations	₱16,981,607	₱13,707,744
Loss before income tax from discontinued operations	(507)	(1,309)
Income before income tax	16,981,100	13,706,435
Adjustments for:		
Depreciation and amortization	3,910,074	3,732,766
Interest expense	2,495,515	2,730,796
Gain from disposal of associate (Note 4)	(1,069,099)	—
Equity share in net income of associates	(376,826)	(293,909)
Interest income	(194,863)	(302,165)
Share-based payments	107,018	95,128
Pension expense, net of contributions and benefit payments	96,997	77,196
Provisions for probable losses	67,300	56,250
Unrealized foreign exchange losses (gains)	(6,296)	2,295
Losses (gains) on disposal of property and equipment - net	(4,637)	83
Operating income before changes in operating assets and liabilities	22,006,283	19,804,875
Changes in operating assets and liabilities:		
Increase in:		
Receivables	(1,025,324)	(926,552)
Contract assets	(238,561)	(8,690)
Inventories	(30,212)	(65,163)
Other current assets	(225,584)	(432,579)
Service concession assets	(15,449,296)	(16,900,644)
Increase (decrease) in:		
Accounts and other payables	(618,358)	2,484,250
Contract liabilities	134,019	298,893
Cash generated from operations	4,552,967	4,254,390
Income taxes paid	(1,826,387)	(1,272,228)
Net cash provided by operating activities	2,726,580	2,982,162
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from disposal of associate	1,069,099	—
Acquisitions of property and equipment and software	(706,655)	(732,129)
Interest received	200,196	304,932
Dividends received	5,345	207,788
Proceeds from sale of property and equipment	2,746	133
Decrease in other noncurrent assets	2,136,686	833,002
Net cash provided in investing activities	2,707,417	613,726
CASH FLOWS FROM FINANCING ACTIVITIES		
Availments of:		
Short-term debt (Note 10)	20,060,726	8,881,893
Long-term debt (Note 10)	595,444	7,456,002
Payments of:		
Short-term debt (Note 10)	(11,000,000)	(822,000)
Dividends to equity holders of the Parent Company	(5,472,619)	(3,370,090)
Interest	(5,052,156)	(4,442,712)
Long-term debt (Note 10)	(4,594,392)	(12,330,379)
Service concession obligations	(1,293,630)	(1,073,267)
Principal portion of lease liabilities	(90,197)	(202,192)
Dividends to noncontrolling interests	—	(128,248)
Collection of subscription receivable	73,757	—
Movements in NCI	—	502,830
Increase (decrease) in other noncurrent liabilities	19,875	(212,872)
Net cash used in financing activities	(6,753,192)	(5,741,035)
NET DECREASE IN CASH AND CASH EQUIVALENTS	(1,319,195)	(2,145,147)
UNREALIZED FOREIGN EXCHANGE GAIN (LOSS) ON CASH AND CASH EQUIVALENTS	1,967	(1,425)
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	7,436,738	10,752,734
CASH AND CASH EQUIVALENTS BEFORE ASSETS HELD FOR SALE	6,119,510	8,606,162
CASH AND CASH EQUIVALENTS RELATED TO ASSETS HELD FOR SALE*	—	(59,682)
CASH AND CASH EQUIVALENTS AT END OF PERIOD (Note 6)	₱6,119,510	₱8,546,480

See accompanying Notes to Unaudited Interim Condensed Consolidated Financial Statements.

* Cash and cash equivalent related to assets held for sale pertains to cash and cash equivalent balance of Bulakan Water and Obando Water which were divested in October 2024.

MANILA WATER COMPANY, INC. AND SUBSIDIARIES

NOTES TO UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

Manila Water Company, Inc. (the Parent Company) and its subsidiaries (collectively referred to as the Group) are incorporated to provide water, integrated used water, sewerage and sanitation, distribution services, pipeworks, engineering, procurement and management services.

On November 14, 2025, the Parent Company's Board of Directors approved and authorized the release of the unaudited interim condensed financial statements.

Additional information about the Group, including the annual and quarterly reports can be found on the corporate website at www.manilawater.com.

The unaudited interim condensed consolidated financial statements are comprised of the financial statements of the Parent Company and the following subsidiaries:

	Country of Incorporation and Place of Business	Effective Percentages of Ownership As of	
		September 30, 2025	December 31, 2024
Manila Water Infratech Solutions Inc. (MWIS)	Philippines	100.00	100.00
Calasiao Water Company, Inc. (Calasiao Water)	-do-	90.00	90.00
Manila Water Asia Pacific Pte. Ltd. (MWAP)	Singapore	100.00	100.00
Kenh Dong Water Holdings Pte. Ltd. (KDWH)	-do-	100.00	100.00
Manila Water South Asia Holdings Pte. Ltd. (MWSAH)	-do-	100.00	100.00
Thu Duc Water Holdings Pte. Ltd. (TDWH)	-do-	100.00	100.00
Manila Water (Thailand) Co., Ltd. (MWTC)	Thailand	100.00	100.00
Manila South East Asia Water Holdings Pte. Ltd. (MSEA) ¹	Singapore	—	—
PT Manila Water Indonesia (PTMWI) ²	Indonesia	100.00	100.00
Manila Water Philippine Ventures, Inc. (MWPVI)	Philippines	100.00	100.00
Boracay Island Water Company, Inc. (Boracay Water)	-do-	80.00	80.00
Calbayog Water Company, Inc. (Calbayog Water)	-do-	60.00	60.00
Clark Water Corporation (Clark Water)	-do-	100.00	100.00
Filipinas Water Holdings Corp. (Filipinas Water) ³	-do-	100.00	100.00
Bulakan Water Company, Inc. (Bulakan Water) ⁷	-do-	—	—
Metro Ilagan Water Company, Inc. (Ilagan Water)	-do-	90.00	90.00
MWPV South Luzon Water Corp. (South Luzon Water)	-do-	100.00	100.00
Obando Water Company, Inc. (Obando Water) ⁷	-do-	—	—
Laguna AAWater Corporation (Laguna Water)	-do-	70.00	70.00
Equipacific HoldCo, Inc. (EHI) ⁶	-do-	70.00	70.00
Laguna Water District Aquatech Resources Corporation (LARC) ⁶	-do-	63.00	63.00
North Luzon Water Company, Inc. (North Luzon Water)	-do-	100.00	100.00
Davao del Norte Water Infrastructure Company, Inc. (Davao Water)	-do-	100.00	100.00
Tagum Water Company, Inc. (Tagum Water) ⁴	-do-	90.00	90.00
Manila Water Consortium, Inc. (MW Consortium)	-do-	79.63	79.63
Cebu Manila Water Development, Inc. (Cebu Water) ⁵	-do-	56.21	56.21
Aqua Centro MWPV Corp. (Aqua Centro)	-do-	100.00	100.00
Bulacan MWPV Development Corp. (BMDC)	-do-	100.00	100.00
EcoWater MWPV Corp. (EcoWater)	-do-	100.00	100.00
Leyte Water Company, Inc. (Leyte Water)	-do-	100.00	100.00
Manila Water Technical Ventures, Inc. (MWTV)	-do-	100.00	100.00
Zamboanga Water Company, Inc. (Zamboanga Water)	-do-	70.00	70.00

¹ On September 18, 2024, MSEA was considered as officially dissolved in Singapore by the Accounting and Corporate Regulatory Authority.

² PTMWI is 95.00% owned by MSEA and 5.00% owned by an individual whose ownership has been pledged to MSEA.

³ Filipinas Water is 49.00% owned by the Parent Company and 51.00% owned by MWPVI.

⁴ Tagum Water is 90.00% owned by Davao Water. MWPVI's effective interest in Tagum Water is 90.00% by virtue of its 100.00% ownership interest in Davao Water as of September 30, 2025 and December 31, 2024.

⁵ Cebu Water is 70.58% owned by MW Consortium. MWPVI's effective ownership interest in Cebu Water is 56.21% by virtue of its 79.63% ownership interest in MW Consortium as of September 30, 2025 and December 31, 2024.

⁶ MWPVI acquired 70% ownership of EHI on April 18, 2024. EHI owned 90% shares in LARC. MWPVI's effective ownership interest in LARC is 63.00% by virtue of its 70.00% ownership interest in EHI as of September 30, 2025 and December 31, 2024.

⁷ On October 22, 2024, the Group has completed the divestment of Bulakan Water and Obando Water.

Unless otherwise indicated, the Philippines is the principal place of business and country of incorporation of the Group's subsidiaries.

2. Basis of Preparation and Summary of Changes to Significant Accounting Policies

Basis of Preparation

The unaudited interim condensed consolidated financial statements of the Group have been prepared using the historical cost basis. The Parent Company's presentation and functional currency is the Philippine Peso (₱, Peso or PHP). Amounts are rounded off to the nearest Peso, except otherwise stated.

Statement of Compliance

The unaudited interim condensed consolidated financial statements of the Group have been prepared in compliance with Philippine Accounting Standard (PAS) 34, *Interim Financial Reporting*. Accordingly, the unaudited interim condensed consolidated financial statements do not include all the information and disclosures required in the annual audited consolidated financial statements and should be read in conjunction with the Group's annual consolidated financial statements as of and for the year ended December 31, 2024.

The preparation of the financial statements, in compliance with PFRSs, requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. The estimates and assumptions used in the unaudited interim condensed consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as of the date of the unaudited interim condensed consolidated financial statements. Actual results could differ from such estimates.

Changes in Accounting Policies and Disclosures

The accounting policies adopted in the preparation of the unaudited interim condensed consolidated financial statements are consistent with those of the previous financial years, except for the following PFRSs, amended PFRSs and improvements to PFRS which were adopted as of January 1, 2025. Unless otherwise stated, the new standards and amendments did not have any material impact to the Group.

a. PFRS 17, Insurance Contracts

PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, *Insurance Contracts*. This new standard on insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

The overall objective of PFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in PFRS 4, which are largely based on grandfathering previous local accounting policies, PFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of PFRS 17 is the general model, supplemented by:

- a) a specific adaptation for contracts with direct participation features (the variable fee approach); and
- b) a simplified approach (the premium allocation approach) mainly for short-duration contracts.

On December 15, 2021, the Financial Reporting Standards Council (FRSC) amended the mandatory effective date of PFRS 17 from January 1, 2023 to January 1, 2025. This is consistent with Circular Letter No. 2020-62 issued by the Insurance Commission which deferred the implementation of PFRS 17 by two (2) years after its effective date as decided by the IASB.

PFRS 17 is effective for reporting periods beginning on or after January 1, 2025, with comparative figures required. Early application is permitted.

b. Amendments to PAS 21, Lack of exchangeability

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

The amendments are effective for annual reporting periods beginning on or after January 1, 2025. Earlier adoption is permitted, and that fact must be disclosed. When applying the amendments, an entity cannot restate comparative information.

Future Changes in Accounting Policies

Pronouncements issued but not yet effective are listed below. The Group intends to adopt the following pronouncements when they become effective. Unless otherwise indicated, the Group does not expect that the future adoption of these pronouncements will have a significant impact on its consolidated financial statements.

Effective beginning on or after January 1, 2026 -

a. Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*

The amendments clarify that a financial liability is derecognized on the 'settlement date', i.e., when the related obligation is discharged, cancelled, expires or the liability otherwise qualifies for derecognition. They also introduce an accounting policy option to derecognize financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met.

The amendments also clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (ESG)-linked features and other similar contingent features. Furthermore, the amendments clarify the treatment of non-recourse assets and contractually linked instruments.

b. Annual Improvements to PFRS Accounting Standards—Volume 11

The amendments are limited to changes that either clarify the wording in an Accounting Standard or correct relatively minor unintended consequences, oversight or conflicts between the requirements in the Accounting Standards. The following is the summary of the Standards involved and their related amendments.

- Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
The amendments included in paragraphs B5 and B6 of PFRS 1 cross references to the qualifying criteria for hedge accounting in paragraph 6.4.1(a), (b) and (c) of PFRS 9. These are intended to address potential confusion arising from an inconsistency between the wording in PFRS 1 and the requirements for hedge accounting in PFRS 9.
- Amendments to PFRS 7, *Gain or Loss on Derecognition*
The amendments updated the language of paragraph B38 of PFRS 7 on unobservable inputs and included a cross reference to paragraphs 72 and 73 of PFRS 13.
- Amendments to PFRS 9
 - a) Lessee Derecognition of Lease Liabilities
The amendments to paragraph 2.1 of PFRS 9 clarified that when a lessee has determined that a lease liability has been extinguished in accordance with PFRS 9, the lessee is required to apply paragraph 3.3.3 and recognize any resulting gain or loss in profit or loss.
 - b) Transaction Price
The amendments to paragraph 5.1.3 of PFRS 9 replaced the reference to 'transaction price as defined by PFRS 15 *Revenue from Contracts with Customers*' with 'the amount determined by applying PFRS 15'. The term 'transaction price' in relation to PFRS 15 was potentially confusing and so it has been removed. The term was also deleted from Appendix A of PFRS 9.
- Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
The amendments to paragraph B74 of PFRS 10 clarified that the relationship described in B74 is just one example of various relationships that might exist between the investor and other parties acting as de facto agents of the investor.
- Amendments to PAS 7, *Cost Method*
The amendments to paragraph 37 of PAS 7 replaced the term 'cost method' with 'at cost', following the prior deletion of the definition of 'cost method'.

Effective beginning on or after January 1, 2027 –

• PFRS 18, *Presentation and Disclosure in Financial Statements*

The standard replaces PAS 1 Presentation of Financial Statements and responds to investors' demand for better information about companies' financial performance. The new requirements include:

- a) Required totals, subtotals and new categories in the statement of profit or loss
- b) Disclosure of management-defined performance measures
- c) Guidance on aggregation and disaggregation

• PFRS 19, *Subsidiaries without Public Accountability*

The standard allows eligible entities to elect to apply PFRS 19's reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other PFRS accounting standards. The application of the standard is optional for eligible entities.

Interpretation with Deferred Effective Date -

- a. Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Investments in Associates and Joint Ventures – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

On January 13, 2016, the Financial Reporting Standards Council postponed the original effective date of January 1, 2016 of the said amendments until the International Accounting Standards Board has completed its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

3. Notes to the Unaudited Interim Condensed Consolidated Financial Statements

- a. The Group does not have any significant seasonality or cyclicity in its interim operations, except for the usually higher demand during the summer months of April to June.
- b. The Group has not made any modification to its existing debt and has not availed of any extension in debt servicing. As of September 30, 2025, there were no other known trends, demands, commitments, events or uncertainties that have material impact on the Group's liquidity.
- c. Other than the items disclosed in the unaudited interim condensed consolidated financial statements, the Group did not acquire assets nor incur liabilities that are material in amount for the period ended September 30, 2025.
- d. There were no material off-balance sheet transactions, arrangements, and obligations created during the reporting period.
- e. Future events may occur which may cause the assumptions used in arriving at the estimates to change. The effect of any change in estimates will be recorded in the consolidated financial statements as they become reasonably determinable. There were no material changes in estimates of amounts reported in the prior interim period of the prior financial year.
- f. The Group has not been subjected and is not subject to any bankruptcy, receivership, or similar proceedings. It has not made any material reclassification, purchase, or sale of any significant amount of assets which are not in the ordinary course of business.
- g. The Group has various contingent liabilities arising from the ordinary conduct of business which are either pending decision by the courts or are being contested, the outcomes of which are not presently determinable.
- h. There were no material adjusting or other non-adjusting events, except those disclosed, after the September 30, 2025 interim period reporting date up to the date of authorization for issuance of the unaudited interim condensed financial statements.

4. Significant Events and Transactions

East Zone

- a. Parent Company's increase in Tariff Rate

Beginning January 2023 through 2027, the Parent Company implemented (and will implement) the new tariff rates based on the MWSS Board of Trustees (BOT) Resolution No. 2022-148-RO approved on November 10, 2022. The Resolution outlines the Parent Company's Rebasing Adjustment for the Sixth Rate Rebasing Period (2023 to 2027) as recommended by the MWSS Regulatory Office (RO) Resolution No. 2012-12-CA. The implementation of Rebasing Adjustment from 2023 to 2027 on a staggered basis is scheduled as follows:

- ₱8.04 on January 1, 2023,
- ₱5.00 on January 1, 2024,
- ₱3.25 on January 1, 2025,
- ₱1.91 to ₱3.00 on January 1, 2026, and
- ₱1.05 to ₱1.08 on January 1, 2027.

Effective January 1, 2025, the Parent Company implemented the third tranche of the approved Rate Rebasing Adjustment equivalent to 8.15% and adjustment due to changes in Consumer Price Index equivalent to 3.30% on the existing Basic Charge, based on MWS-RO Resolution No. 2024-21-CA dated November 22, 2024 and as approved by the MWSS Board Resolution No. 2024-186-RO dated December 5, 2024. Accordingly, the Parent Company was allowed to raise its tariff by an average of ₱4.84 per cubic meter.

The approval also includes an indicative adjustment of about 0.97 to 1.00 or 2.12% on January 1, 2028 due to non-full recovery of the total expenses for the Wawa Bulk Water Supply Project in compliance with MWSS BOT. However, this amount will be subject to the next Rate Rebasing exercise.

Furthermore, the environmental charge increased from 20% to 25% beginning January 1, 2023, and will increase from 25% to 30% beginning January 1, 2026. Sewer charge increased from 30% to 32.85% beginning January 1, 2023. Both increases are subject to Manila Water's attainment of sewer coverage of 30% by the end of 2025.

b. Parent Company's 2025 Foreign Currency Denominated Adjustments (FCDA)

In 2025, MWSS BOT approved the implementation of FCDA for the 2nd, 3rd and 4th quarters of 2025 pursuant to the provisions of the Amended RCA, as follows:

Approval date	FCDA Adjustment	Impact to Tariff
March 12, 2025	1.39% of the 2025 average basic charge of ₱47.10 per cubic meter (/cum) or ₱0.65/cum	Upward adjustment by an average of ₱0.04 per cubic meter effective April 1, 2025
May 27, 2025	1.12% of the 2025 average basic charge of ₱47.10/cum or ₱0.53/cum	Downward adjustment by an average of ₱0.12 per cubic meter effective July 1, 2025
September 12, 2025	0.80% of the 2025 average basic charge of ₱47.10/cum or ₱0.38/cum	Downward adjustment by an average of ₱0.15 per cubic meter effective October 1, 2025.

c. Parent Company's Approval of the 10-year Concession Agreement Extension

The Parent Company submitted a request to MWSS for the extension of the expiration of the term of its RCA with MWSS from July 31, 2037 to January 21, 2047, in accordance with the Parent Company's legislative franchise, Republic Act No. 11601. This was approved by the MWSS and then endorsed to the Department of Economy, Planning, and Development (formerly National Economic and Development Authority) pursuant to Republic Act No. 11966, the new Public-Private Partnership Code.

On July 1, 2025, the Parent Company received the formal notice of the Economy and Development Council of the Department of Economy, Planning, and Development approving the extension of the expiration of the term of the RCA between MWSS and MWC, from July 31, 2037 to January 21, 2047.

d. Parent Company's Acquisition of Wawa JV Co

On June 27, 2025, the Parent Company signed a binding term sheet with Prime Infrastructure Inc. ("PII") for the sale and purchase of its ownership interest in WawaJVCo, Inc. ("WawaJVCo"), and on August 8, 2025, the Parent Company and PII signed a Share Purchase Agreement ("SPA"), for the purchase of all of PII's interests in WawaJVCo. The number of shares to be acquired are 3,048,780 common shares, 4,760,618 non-voting preferred shares, and ₱1,534,717,807 of deposits for future stock subscription for non-voting preferred shares to be issued. The total consideration for PII's shares and deposit for future stock subscription shall be paid in installments, with an initial payment to be made on 15 December 2025 in the amount of Ph₱6.11 billion. The final installment shall be paid on 30 January 2026, subject to adjustments to balance sheet items from the SPA signing date to closing date. The closing conditions of said transaction were complied with on September 30, 2025.

WawaJVCo was established to develop, operate and maintain the Wawa Bulk Water Supply Project to augment Metro Manila's raw water supply. Its asset portfolio includes the Tayabasan Weir, located in Antipolo, and the Upper Wawa Dam, located in Rodriguez, both in Rizal, with current contracted capacity of 518 million liters per day (MLD), and additional available capacity of up to 200MLD. The facility currently transports water from the Upper Wawa Dam to the downstream Calawis treatment facility of MWC, and will supply water to the Kaysakat and Pasig treatment facilities once completed.

The Parent Company considered the acquisition strategically aligned with its long-term operational and water security objectives. In anticipation of the full operation of the Upper Wawa Dam, it has been determined that the Parent Company is best placed to directly manage, operate, and optimize the Upper Wawa Dam to ensure technical compatibility, system efficiency, and operational synergies. This will provide greater focus and flexibility in water resource allocation, while allowing for more efficient operations and overall cost management of the facility.

Non-East Zone (Philippines)

- a. Boracay Water's Tariff Adjustment Implementation
Effective January 1, 2025, Boracay Water implemented a tariff adjustment equivalent to CPI of 4.70%, in accordance with the approved rates by Tourism Infrastructure and Enterprise Zone Authority on December 9, 2024.
- b. Clark Water's Rate Rebasing Tariff Adjustment Implementation and Extraordinary Tariff Adjustment Implementation
Effective January 1, 2025, Clark Water implemented an 8.7% tariff increase amounting to ₱2.90 per cubic meter water charge in accordance with the 60% tariff increase based on Rate Rebasing (RR22) approved by the BOD of Clark Development Corporation (CDC) on December 20, 2023. The RR22 is implemented in 3 tranches (60-20-20) until 2026.

Further, effective April 1, 2025, Clark Water implemented the third tranche of extraordinary tariff adjustment (ETA) in accordance with the rate approved by BOD of CDC last February 2, 2023. The ETA amounts to ₱3.05 per cubic meter water charge staggered equally in four years until 2026.
- c. Estate Water Group's Tariff Adjustment Implementation
Effective in the 1st quarter of 2025, Estate Water, Aqua Centro, Bulacan Aqua Estate (collectively "Estate Water Group") implemented an average 15% tariff increase in 44 developments across the Philippines.
- d. Termination of Lambunao Project
On February 5, 2025, the Joint Venture Agreement (JVA) between Aqua Centro and Lambunao Water District (LWD) has been terminated by mutual agreement, effective April 1, 2025. Based on the JVA Mutual Termination Terms and Conditions, Aqua Centro shall turnover to LWD all administrative records, legal documents, and LWD inventories; and shall also provide financial assistance equivalent to two (2) months revenue share, two (2) months amortization payments of LWUA loans and three (3) months rental of office space following the JVA termination.

Non-East Zone (International)

- a. Divestment of Investment in Eastern Water Resources Development and Management Public Company Limited (East Water)
On July 25, 2025, the Parent Company's BOD approved the divestment of MWTC's 311,433,190 shares in East Water, representing an 18.72% equity stake. The sale was completed on September 5, 2025, via a block sale through the Stock Exchange of Thailand at THB 2.00 per share, resulting in total gross proceeds of THB 622.9 or ₱1,069.6 million. In 2025, the total proceeds was recognized as gain from divestment of associate following the full impairment of investment in December 2024.

Events After Reporting Period

MWAP's Signing of Binding Term Sheet for Acquisition of Shareholdings in Agua De Puebla

On November 14, 2025, MWAP executed a binding term sheet for the acquisition of shareholdings in Agua de Puebla, equivalent to 56.14% held by Creando Estructuras, S.A. de C.V. ("Hermes") and 18.71% owned by Grupo Agua de Mexico, S.A. de C.V. ("Agua de Mexico", together with Hermes, the "Sellers") (the "Transaction"). The parties will execute a definitive agreement, subject to the fulfillment of conditions precedent.

The Transaction is a strategic initiative aligned with Manila Water's long-term growth and market expansion plans, aimed at entering high-potential regions in Latin America. This acquisition supports Manila Water's investment strategy which prioritizes operational control and long-term value creation.

5. Impairment Testing of Goodwill and Nonfinancial Assets

The Group performs its annual impairment test in December and when circumstances indicate that the carrying value of its assets may be impaired. The Group's recoverable amount of goodwill and intangible assets with indefinite lives is based on the higher of the fair value less cost to sell and value in use. The key assumptions used to determine the recoverable amount for the different cash generating units were disclosed in the annual consolidated financial statements for the year ended December 31, 2024.

The Group's nonfinancial assets consist of property, plant and equipment and software, service concession assets (SCA), contract assets representing SCA under construction, right-of-use assets, investments in associates, water rights, and deposits under other current and noncurrent assets.

For the period ended September 30, 2025, the Group has not recognized any impairment loss on its investments in Thu Duc Water BOO Corporation (Thu Duc Water), Kenh Dong Water Supply Joint Stock Company (Kenh Dong Water), PT Sarana Tirta Ungaran (PT STU), IWP and IWP2. As of September 30, 2025, the Group has accumulated allowance for impairment on its investments in Saigon Water Infrastructure Corporation (Saigon Water), and Cu Chi Water amounting to ₱1,382.71 million.

As of September 30, 2025, the Parent Company's market capitalization was higher than its net book value. Therefore, the Group did not recognize any impairment loss on the Parent Company's nonfinancial assets particularly its property, plant and equipment and software and SCA amounting to ₱898.64 million and ₱179,611.25 million, respectively.

Except for those discussed above, as of September 30, 2025, there were no indicators of impairment for the Group's property, plant and equipment and software, SCA, contract assets representing SCA under construction, right-of-use assets, water rights, and deposits under other current and noncurrent assets.

6. Cash and Cash Equivalents and Short-term Investments

This account consists of:

	September 30, 2025	December 31, 2024
	(in Thousands)	
Cash on hand and in banks	₱2,657,911	₱2,041,918
Cash equivalents	3,461,599	5,394,820
	₱6,119,510	₱7,436,738

Cash in banks earn interest at the respective bank deposit rates. Cash equivalents are highly liquid investments with varying periods of up to three (3) months and earn interest at the respective short-term rates. Interest income earned from cash in banks and cash equivalents amounted to ₱192.93 million and ₱301.59 million for the period September 30, 2025 and 2024, respectively (see Note 11).

7. Receivables and Contract Assets

a. Receivables

This account consists of:

	September 30, 2025	December 31, 2024
	(in Thousands)	
Customers of:		
Water and used water services:		
Residential	₱2,661,501	₱2,575,018
Commercial	964,265	643,552
Semi-business	301,937	201,659
Industrial	196,839	57,175
Pipework services	473,410	508,313
Supervision fees	665,727	356,771
Distributor's fees	117,021	117,039
Technical due diligence services	8,396	9,347
Zamboanga City Water District (ZCWD)	39,510	39,510
Employees	14,909	30,132
Interest from banks	12,388	17,721
Others	722,113	463,455
	6,178,016	5,019,692
Less allowance for expected credit losses (ECL)	1,669,349	1,531,016
	₱4,508,667	₱3,488,676

Other receivables include receivables for cross-border billings, receivables from shared and collection facilities, and receivables for liquidated damages on the Parent Company's bulk water contract.

The Group recognized provisions for ECL amounting to ₱143.03 million and ₱123.24 million for the period September 30, 2025 and 2024, respectively (see Note 11).

b. Contract assets

This account consists of:

	September 30, 2025	December 31, 2024
	(in Thousands)	
Contract assets from:		
Supervision fees	₱315,148	₱158,190
Non-Revenue Water Reduction Service Agreement (NRWSA) with Zamboanga City Water District (ZCWD)	285,929	285,929
Pipeworks and integrated used water services	40,439	83,026
Bulk water contracts - Tagum Water District (TWD)	139,483	106,857
Current portion	780,999	634,002
Bulk water contracts:		
TWD	908,638	899,110
City of Ilagan Water District (CIWD)	563,627	481,074
Noncurrent portion	1,472,265	1,380,184
	2,253,264	2,014,186
Less: Allowance for ECLs	316,892	316,375
	₱1,936,372	₱1,697,811

8. Other Current Assets

This account consists of:

	September 30, 2025	December 31, 2024
	(in Thousands)	
Net input value-added taxes (VAT)	₱1,056,458	₱790,712
Prepaid expenses	944,837	1,044,652
Advances to contractors and deposits – net	130,401	236,552
	₱2,131,696	₱2,071,916

9. Service Concession Assets

Service concession assets (SCA) consist of the present value of total estimated concession fee payments, including regulatory costs and local component costs, of the Parent Company, Calasiao Water, Boracay Water, Calbayog Water, Clark Water, Ilagan Water (septage management), South Luzon Water, North Luzon Water, Laguna Water, LARC and Bulk Water Agreement with Wawa JV, Co pursuant to the Group's concession agreements, JVA and Septage Management Agreement (SMA); and the revenue from rehabilitation works which is equivalent to the related cost for the rehabilitation works covered by the concession arrangements, JVA and SMA.

Contract assets shown as part of SCA arising from concession agreements consist of the cost of rehabilitation works covered by the respective concession agreements, JVA and SMAs of the Parent Company, Calasiao Water, Boracay Water, Calbayog Water, Clark Water, Ilagan Water, South Luzon Water and Laguna Water.

On February 5, 2025, the JVA for the Lambunao Project has been terminated effective April 1, 2025. On October 22, 2024, the Group has completed the divestment of Bulakan Water and Obando Water.

As of September 30, 2025 and 2024, total interest and other borrowing costs capitalized as part of the rehabilitation works amounted to ₱3,456.22 million and ₱3,107.48 million, respectively. The capitalization rate used for general borrowings was 2.36% and 4.51% in 2025 and 2024, respectively.

10. Short-term and Long-term Debt

For the period ended September 30, 2025, the Group's total proceeds from loans aggregated to ₱20,656.17 million which consist of availments from Parent Company (₱19,965.73 million), LARC (₱50.00 million), South Luzon (₱45.00 million), Clark Water (₱198.44 million) and Laguna Water (₱397.00 million). Total loan payments aggregated to ₱15,594.39 million consist of payments from Parent Company (₱14,351.69 million), MWPVI (₱481.23 million), Laguna Water (₱336.22 million), Boracay Water (₱172.67 million), Clark Water (₱105.31 million), South Luzon Water (₱60.94 million), Tagum Water (₱35.25 million), Calbayog Water (₱20.00 million) and Aqua Centro (₱31.08 million).

Parent Company's Short-Term Loans

Parent Company's short-term loan with BDO Unibank, Inc. (BDO)

On March 13, 2025 and June 10, 2025, the Parent Company made short-term drawdowns with BDO amounting to ₱2,500.00 million and ₱5,000.00 million, respectively, to finance its working capital requirements. These loans were fully paid as of September 30, 2025.

Parent Company's short-term loan with Metrobank and Trust Company (MBTC)

On March 25, 2025, the Parent Company made short-term drawdown with MBTC amounting to ₱3,500.00 million which was fully paid on June 11, 2025. On September 8, 2025, additional short-term drawdown was made amounting to ₱9,000.00 million to finance its working capital requirements. As of September 30, 2025, the carrying amount of the short-term loan amounted to ₱8,989.27 million.

Non-East Zone (Philippines) Loans

LARC's short-term loan with Bank of the Philippine Islands (BPI)

On March 27, 2025, LARC has entered into a revolving promissory note line agreement with BPI with gross principal amount up to ₱150.00 million. LARC made its first short-term loan drawdown amounting ₱50.00 million on March 27, 2025 with maturity of 90 days and subject to 6.50% interest rates. The proceeds of the loans will be used for LARC operations funding requirements. Upon maturity, LARC has refinanced the short-term loan for another 90 days. As of September 30, 2025, the carrying amount of the short-term loan amounted to ₱50.00 million.

South Luzon Water's short-term loan with BPI

On May 7, 2025, South Luzon Water signed a ₱50.00 million revolving promissory note line agreement with BPI, to be used for general corporate requirements including CAPEX. Drawdowns were made on May 28, 2025 and August 20, 2025, amounting to ₱15.00 million and ₱30.00 million, respectively, with maturity of 30 to 60 days and subject to 6.25% interest rate. In September 2025, these loans were refinanced for another 30 days. As of September 30, 2025, the carrying value of the short-term loans amounted to ₱45.00 million.

Clark Water's long-term loan with BPI

On June 23, 2025, Clark Water made an additional drawdown from its loan facility with BPI amounting to ₱150.00 million, subject to an interest rate based on 2Y BVAL rate plus credit spread. The proceeds of the loan will be used to finance its capital expenditure projects. The net proceeds of the loan amounted to ₱148.67 million.

On September 23, 2025, Clark Water made an additional drawdown from its loan facility with BPI amounting to ₱50.00 million, subject to an interest rate based on 2Y BVAL rate plus credit spread. The proceeds of the loan will be used to finance its capital expenditure projects. The net proceeds of the loan amounted to ₱49.77 million.

Laguna Water's long-term loan with BPI

On May 8, 2025, Laguna Water made an additional drawdown from its loan facility with BPI amounting to ₱400.00 million, subject to an interest rate of 6.37%. The proceeds of the loan will be used to finance its capital expenditure projects. The net proceeds of the loan amounted to ₱397.00 million.

Compliance with loan covenants

All loan agreements provide for certain covenants which must be complied with by the Group which include compliance with certain financial ratios such as the debt-to-equity, debt-service-coverage and early termination, as well as limitations in the declaration of dividends to stockholders in some of the subsidiaries.

Effective October 31, 2024, all existing lenders of the Parent Company formally consented to the removal of the debt service coverage ratio among the Parent Company's loan covenants.

As of September 30, 2025 and December 31, 2024, the Group was in compliance with all the loan covenants required by the creditors.

11. Other Operating Revenues, Operating Expenses, Interest Income and Interest Expense

Other operating revenues consists of:

	Periods Ended September 30	
	2025	2024
	(in Thousands)	
Operations and maintenance services	₱231,352	₱108,584
Supervision fees	186,778	200,945
Connection fees from water and service connections	170,930	186,472
Pipeworks and integrated used water services	108,335	146,064
Reconnection fees	101,745	89,795
Cross-border billing	84,499	213,419
Service income from bulk water contracts	57,262	80,227
Income from customer late payments	55,162	55,964
Septic sludge disposal and bacteriological water analysis	43,218	30,557
BNR and other miscellaneous revenues	547,456	251,150
	₱1,586,737	₱1,363,177

Operating expenses consist of:

	Periods Ended September 30	
	2025	2024
	(in Thousands)	
Salaries, wages and employee benefits	₱1,172,360	₱1,148,726
Management, technical and professional fees	1,102,605	1,007,524
Depreciation and amortization	489,540	458,558
Repairs and maintenance	313,410	293,234
Contractual services	292,689	304,501
Taxes and licenses	241,002	227,764
Insurance	203,603	225,199
Provisions for ECL on receivables and contract assets	143,028	123,238
Expenses arising from provisions and penalties	67,308	35,737
Transportation and travel	31,322	20,607
Printing and communication	20,146	15,737
Business meetings and representation	17,332	16,169
Advertising	11,450	12,495
Rent	8,084	10,444
Donations	575	63,829
Other expenses	69,390	68,464
	₱4,183,844	₱4,032,226

Interest income consists of:

	Periods Ended September 30	
	2025	2024
	(in Thousands)	
Cash and cash equivalents	₱192,927	₱301,586
Others	1,936	579
	₱194,863	₱302,165

Interest expense consists of:

	Periods Ended September 30	
	2025	2024
	(in Thousands)	
Service concession obligations	₱817,059	₱873,610
Short-term and long-term debt:		
Coupon interest	1,494,772	1,687,192
Amortization of debt discount, issuance costs and premium	145,857	132,665
Lease liabilities	19,011	18,622
Pension and long-term SL/VL liabilities	17,967	16,653
Other financing charges	849	2,054
	₱2,495,515	₱2,730,796

12. Income Taxes

Provision for income taxes consists of:

	Periods Ended September 30	
	2025	2024
	(in Thousands)	
Current	₱2,428,419	₱1,876,548
Final	18,576	24,453
Deferred	1,386,513	1,316,353
	₱3,833,508	₱3,217,354

13. Equity

Paid-in capital

The Parent Company's capital stock consists of:

	September 30, 2025		September 30, 2024	
	Shares	Amount	Shares	Amount
	(in Thousands)		(in Thousands)	
Common stock – ₱1 per share				
Authorized	3,100,000,000	3,100,000	3,100,000,000	3,100,000
Issued and subscribed	2,885,795,897	2,885,796	2,885,795,897	2,885,796
Issued and outstanding	2,170,517,203	2,170,517	2,166,111,941	2,166,112
Preferred stock – ₱0.10 par value, 10% cumulative, voting, participating, nonredeemable and nonconvertible				
Authorized and issued				
- 4,000,000,000 shares	4,000,000,000	400,000	4,000,000,000	400,000
Issued and outstanding	3,563,756,068	356,376	3,563,756,068	356,376

The movement of the Parent Company's issued and outstanding common stock follows:

	September 30, 2025	September 30, 2024
Number of issued shares at beginning of the period	2,454,813,828	2,454,532,016
Additions	–	281,812
Number of issued shares at end of the period	2,454,813,828	2,454,813,828
Treasury shares	(284,296,625)	(288,701,887)
Number of issued and outstanding shares at end of the period	2,170,517,203	2,166,111,941

The movement of the Parent Company's issued and outstanding preferred stock follows:

	September 30, 2025	September 30, 2024
Number of issued shares at end of the period	4,000,000,000	4,000,000,000
Treasury shares	(436,243,932)	(436,243,932)
Number of issued and outstanding shares at end of the period	3,563,756,068	3,563,756,068

The movement of the Parent Company's paid-in capital for the periods ended September 30, 2025 and 2024 follows:

	September 30, 2025						
	Common Stock	Subscribed Common Stock	Preferred Stock	Additional Paid-in Capital	Subscription Receivable	Treasury Shares	
	(in Thousands)						
Balance at beginning of period	₱2,454,814	₱430,982	₱400,000	₱14,532,720	(₱5,601,286)	(₱5,702,031)	₱6,515,199
Collection	–	–	–	–	73,757	–	73,757
Cost of share-based payments	–	–	–	19,397	–	87,621	107,018
Balance at end of period	₱2,454,814	₱430,982	₱400,000	₱14,552,117	(₱5,527,529)	(₱5,614,410)	₱6,695,974

	September 30, 2024						
	Common Stock	Subscribed Common Stock	Preferred Stock	Additional Paid-in Capital	Subscription Receivable	Treasury Shares	Paid-in Capital
	(in Thousands)						
Balance at beginning of period	₱2,454,532	₱430,308	₱400,000	₱14,458,016	(₱5,607,258)	(₱5,749,624)	₱6,385,974
Additions	—	956	—	(956)	—	—	—
Issuance of shares	282	(282)	—	—	—	—	—
Cost of share-based payments	—	—	—	44,609	2,926	47,593	95,128
Balance at end of period	₱2,454,814	₱430,982	₱400,000	₱14,501,669	(₱5,604,332)	(₱5,702,031)	₱6,481,102

Treasury Shares

On September 31, 2022, the Parent Company's BOD approved a buy-back program in relation to the Stock Incentive Plan (SIP) for its senior leaders and officers. The Parent Company acquired 3,200,000 treasury shares for a total amount of ₱49.41 million.

On October 11, 2023, the Parent Company's BOD approved a buy-back of its shares with Ayala Corporation and Philwater Holdings Company, Inc. The Parent Company re-acquired its 288,998,734 common shares and 436,243,932 participating preferred shares, respectively, for a total amount of ₱5.7 billion. On the buy-back date, the transaction reduced Ayala Corporation's effective economic stake from 30.4% to 22.5%.

As of September 30, 2025 and 2024, total number of treasury shares – common stock follows:

	September 30, 2025	September 30, 2024
Number of shares at beginning of year	288,701,887	291,142,572
Reissuance of shares	(4,405,262)	(2,440,685)
Number of shares at end of year	284,296,625	288,701,887

As of September 30, 2025 and 2024, total number of participating preferred shares held in treasury shares amounted to 436,243,932 shares.

Dividends

On February 24, 2025, the Parent Company's BOD approved the declaration of cash dividends on the outstanding capital stock summarized below:

Declaration Date	Record Date	Amount Per Share		Payment Date
		Common Shares	Participating Preferred Shares	
February 24, 2025	March 10, 2025	1.841	0.184	March 28, 2025

Stock Incentive Plan (SIP)

On February 24, 2022, the BOD approved the Stock Incentive Plan, which is a performance-based bonus extended to the senior leadership, officers, and consultants of Manila Water, its subsidiaries and affiliates, in the form of Manila Water shares as equity-settled transactions, in lieu of cash incentives and bonuses. Shares to be awarded shall vest in three (3) years: 25.00% on the first anniversary date of the award; 25.00% on the second anniversary date of the award; and 50.00% on the third anniversary date of the award. Vesting shall grant the grantee absolute beneficial title and rights over the shares, including full dividend and voting rights. The shares for the SIP will be acquired from the market and held in treasury before they are issued to the SIP grantees. The SIP is in addition to the existing ESOP and ESOWN Plans.

Details of the SIP follows:

	September 30, 2025	December 31, 2024
Vested shares	14,480,712	9,854,490
Unvested shares	6,125,737	5,211,559
Cumulative number of granted shares	20,606,449	15,066,049

*Includes 1,263,691 shares and 588,072 shares adjusted by dividend reinvestment plan as of June 30, 2025 and December 31, 2024, respectively.

Date of grant	Fair value of shares at grant date
April 12, 2025	₱29.25
April 5, 2024	21.65
April 14, 2023	19.66
April 22, 2022	19.20

Retained Earnings

On November 14, 2025, the Parent Company's BOD approved the appropriation of ₱8,684.47 million to ensure the completion of the Parent Company's major system projects included in its approved Business Plan. The implementation of these projects is consistent with the timeline of the approved Business Plan which covers until the end of the concession period.

14. Earnings per Share (EPS)

Earnings per share amounts attributable to equity holders of the Parent Company as follows:

	Periods Ended September 30	
	2025	2024
	(in Thousands Except Earnings per Share)	
Net income (loss) attributable to common equity holders of the Parent Company:		
Continuing operations	₱12,667,100	₱10,103,519
Discontinued operations	(347)	(923)
Dividends on preferred shares*	(1,526,896)	(1,219,874)
Net income attributable to common shareholders for basic and diluted earnings per share	₱11,139,857	₱8,882,722
Weighted average number of common shares for basic earnings per share	2,600,031	2,595,228
Dilutive common shares arising from stock options	—	—
Adjusted weighted average number of common stocks for diluted earnings per share	2,600,031	2,595,228
EPS before discontinued operations		
Basic earnings per share	₱4.28	₱3.43
Diluted earnings per share	₱4.28	₱3.43
EPS		
Basic earnings per share	₱4.28	₱3.43
Diluted earnings per share	₱4.28	₱3.43

*Including participating preferred shares' participation in earnings

15. Segment Information

Business segment information is reported on the basis that is used internally for evaluating segment performance and deciding how to allocate resources among operating segments. Accordingly, the segment information is reported based on the nature of service the Group is providing and its geographic location.

The segments where the Group operates follow:

- Manila Concession and Head Office – represents the operations of the Manila Concession (East Zone) of the Parent Company in accordance with its Concession Agreement.
- Domestic Subsidiaries – represents the financial results of the Philippine businesses such as MWIS, Calasiao Water, MWPVI (including Boracay Water, Calbayog Water, Clark Water, Filipinas Water, Ilagan Water, South Luzon Water, Laguna Water, North Luzon Water, Davao Water, Tagum Water, MW Consortium, Cebu Water, Aqua Centro, BMDC, EcoWater, Leyte Water, MWTV, and Zamboanga Water). The 2024 amounts include profit or loss balances for Bulakan Water and Obando Water until October 22, 2024.
- Foreign Subsidiaries – consist of businesses outside the Philippines under MWAP (KDWH, MWSAH, TDWH, MWTC, and PTMWI).

Details of the Group's operating segments as of and for the three months ended June 30, 2025 and 2024 are as follows:

September 30, 2025					
	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Consolidation adjustments	Consolidated
(in Thousands)					
Revenue					
Sales to external customers	₱24,052,795	₱8,280,020	₱4,443	(₱2,455,704)	₱29,881,554
Finance income from contract assets	–	170,964	–	–	170,964
Operating expenses (excluding depreciation and amortization)	5,939,940	4,879,816	89,638	(2,198,317)	8,711,077
Depreciation and amortization	3,187,003	698,670	795	23,606	3,910,074
Equity share in net income of associates	–	–	376,826	–	376,826
Other income (expenses) – net	(1,005,948)	(528,519)	827,009	(119,129)	(826,587)
Income (loss) before income tax	13,919,904	2,343,979	1,117,845	(400,122)	16,981,606
Provision for income tax	3,340,777	491,891	840	–	3,833,508
Net income (loss) from continuing operations	10,579,127	1,852,088	1,117,005	(400,122)	13,148,098
Net loss from discontinued operations	–	(495)	–	–	(495)
Net income (loss)	₱10,579,127	₱1,851,593	₱1,117,005	(₱400,122)	₱13,147,603
Other information					
Segment assets excluding investment in associates	₱202,732,927	₱46,769,463	₱13,185,497	(₱28,370,095)	₱234,317,792
Investment in associates	–	–	5,012,771	2,342,442	7,355,213
	202,732,927	46,769,463	18,198,268	(26,027,653)	241,673,005
Segment liabilities	₱123,643,174	₱28,042,053	₱13,771,216	(₱9,726,428)	₱155,730,015
September 30, 2024					
	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Consolidation adjustments	Consolidated
(in Thousands)					
Revenue					
Sales to external customers	₱21,774,720	₱7,470,249	₱3,384	(₱1,839,270)	₱27,409,083
Finance income from contract assets	–	137,983	–	–	137,983
Operating expenses (excluding depreciation and amortization)	6,091,672	4,245,541	56,636	(1,644,463)	8,749,386
Depreciation and amortization	3,038,254	720,631	958	(27,077)	3,732,766
Equity share in net income of associates	–	–	293,909	–	293,909
Other income (expenses) – net	(533,970)	(471,283)	3,569	(649,395)	(1,651,079)
Income (loss) before income tax	12,110,824	2,170,777	243,268	(817,125)	13,707,744
Provision for income tax	2,785,490	415,151	506	16,207	3,217,354
Net income (loss) from continuing operations	9,325,334	1,755,626	242,762	(833,332)	10,490,390
Net loss from discontinued operations	–	(1,319)	–	–	(1,319)
Net income (loss)	₱9,325,334	₱1,754,307	₱242,762	(₱833,332)	₱10,489,071
December 31, 2024					
Other information					
Segment assets excluding investment in associates	₱191,245,749	₱45,932,326	₱15,557,725	(₱31,978,522)	₱220,757,278
Investment in associates	–	–	8,569,359	(1,383,095)	7,186,264
	₱191,245,749	₱45,932,326	₱24,127,084	(₱33,361,617)	₱227,943,542
Segment liabilities	₱117,391,839	₱30,181,851	₱13,197,904	(₱10,163,081)	₱150,608,513

Disaggregated revenue information

The following are the disaggregation of the Group's revenue from contracts with customers:

September 30, 2025				
	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Total
(in Thousands)				
Revenue from contracts with customers:				
Water and used water revenues	₱23,451,643	₱4,843,174	₱—	₱28,294,817
Other operating revenues	250,009	1,334,192	2,536	1,586,737
	₱23,701,652	₱6,177,366	₱2,536	₱29,881,554
Timing of revenue recognition:				
Revenue recognized over time	₱23,590,704	₱6,074,537	₱2,536	₱29,667,777
Revenue recognized at a point in time	110,948	102,829	—	213,777
	₱23,701,652	₱6,177,366	₱2,536	₱29,881,554
September 30, 2024				
	Manila Concession and Head Office	Domestic Subsidiaries	Foreign Subsidiaries	Total
(in Thousands)				
Revenue from contracts with customers:				
Water and used water revenues	₱21,498,440	₱4,547,466	₱—	₱26,045,906
Other operating revenues	240,530	1,119,189	3,458	1,363,177
	₱21,738,970	₱5,666,655	₱3,458	₱27,409,083
Timing of revenue recognition:				
Revenue recognized over time	₱21,646,939	₱5,577,650	₱3,458	₱27,228,047
Revenue recognized at a point in time	92,031	89,005	—	181,036
	₱21,738,970	₱5,666,655	₱3,458	₱27,409,083

16. Related Party Transactions

Parties are considered to be related to the Group if it has the ability, directly or indirectly, to control the Group or exercise significant influence over the Group in making financial and operating decisions, or vice versa, or where the Group and the party are subject to common control or common significant influence. Related parties may be individuals (being members of key management personnel and/or their close family members) or other entities and include entities which are under the significant influence of related parties of the Group where those parties are individuals, and post-employment benefit plans which are for the benefit of employees of the Group or of any entity that is a related party of the Group.

In the normal course of business, the Group has transactions with related parties. The sales and investments made to related parties are made at normal market prices. Service agreements are based on rates agreed upon by the parties. Outstanding balances at year-end are unsecured, due for cash settlement or collection, and interest-free except for balances related to cash in banks and cash equivalents and long-term debt. There have been no guarantees provided for nor received on any related party receivables or payables. This assessment is undertaken each financial year by examining the financial position of the related party and the market in which the related party operates. Significant transactions with related parties follow:

- a. The Parent Company entered into a Consultancy Agreement with Prime Infrastructure Capital Holdings, Inc. (PICl), an affiliate of Trident Water effective June 3, 2021. Under the agreement, PICl shall provide strategic advice and assistance, for which the Parent Company and its subsidiaries shall pay PICl an amount equal to 2.70% of the net revenues of the Group for the calendar quarter from October 1, 2021 onwards. Total management and professional fees charged to operations arising from these agreements amounted to ₱877.97 million and ₱900.68 million on September 30, 2025 and 2024, respectively. Total outstanding payables amounted to ₱541.60 million and ₱283.30 million as of September 30, 2025 and December 31, 2024, respectively.
- b. On May 17, 2024, Trident, executed with Ayala and its wholly-owned subsidiary, Michigan, the underlying agreements for the special block sales covering AC's and Michigan's 577,997,467 MWC common shares. Trident and Philwater, a wholly-owned subsidiary of AC, also executed a Deed of Absolute Sale for the sale of Philwater's 872,487,863 MWC preferred shares. The gross consideration for these transactions among Trident and AC, Michigan, and Philwater (collectively, "Ayala"), amounted to ₱14.5 billion.

As of December 31, 2024, Ayala no longer held common shares of MWC and its voting stake was nil (0%) as a result of the block sale and voting proxy issued in favor of Trident vis-à-vis the participating preferred shares. Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented in the following narratives and tables.

- c. The following tables provide the total amount of all other transactions that have been entered into with the Parent Company's shareholders and affiliates for the relevant financial period:

(in thousands)	Receivables and Contract Assets* (Note 7)		Payables and Contract Liabilities*	
	September 30, 2025	December 31, 2024	September 30, 2025	December 31, 2024
Shareholder:				
Trident Inc.	₱5,330,000	₱5,330,000	₱–	₱–
PICI	–	–	541,601	283,303
Affiliates:				
Wawa JVCo, Inc.	397,653	224,142	6,446,214	6,534,107
Sureste Properties Inc.	49,821	51,228	56	12
Prime Metro BMD	14,607	29,614	279,925	252,525
	462,081	304,984	6,726,195	6,786,644
	₱5,792,081	₱5,634,984	₱7,267,796	₱7,069,947

*Includes trade, retention and interest receivables

Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented in the table above.

Trade receivables are primarily composed of receivables for water and used water services rendered by the Group. These are non-interest bearing and are collectible within thirty (30) days from bill generation. Trade payables pertain to retentions deducted from contractors' billings and are normally paid within a year after project acceptance.

The table below shows the total amount of revenues and purchases between Parent Company's shareholders and affiliates for the relevant period.

(in thousands)	Revenues		Purchases	
	September 30, 2025	September 30, 2024	September 30, 2025	September 30, 2024
Shareholders:				
PICI	₱–	₱–	₱877,973	₱900,679
	–	–	877,973	900,679
Affiliates:				
Wawa JVCo, Inc.	173,511	224,142	550,424	553,844
Sureste Properties, Inc.	69,038	10,761	665	1,088
Prime Metro BMD	4,976	16,105	483,079	584,242
		251,008	1,034,168	1,139,174
	₱247,525	₱251,008	₱1,912,141	₱2,039,853

Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented in the table above.

Revenue is mainly attributable to water and used water services and facilities, and supervision fees rendered by the Group to its shareholder and affiliates.

Purchases from related parties arise from the following transactions:

- PICI for management fees;
- Prime Metro BMD for construction services;
- Wawa JVCo, Inc. for the supply of raw water;
- Sureste Properties, Inc. for representation expense;

- d. On January 15, 2016, MWPVI entered into a MOA with ALI and its subsidiaries and affiliates (the ALI Group) whereby MWPVI shall exclusively provide water and used water services and facilities to all ALI Group property development projects in the Philippines. Revenues earned by MWPVI from the agreement, included under "Supervision fees", amounted ₱155.28 million for the period September 30, 2024. Starting May 17, 2024, Ayala and its affiliates ceased to be related parties. Accordingly, no related party balances were presented in the table above.

17. Financial Assets and Financial Liabilities

The Group's financial assets, other than cash and short-term investments, and financial liabilities consist of:

	September 30, 2025	December 31, 2024
	(in Thousands)	
Financial assets at amortized cost		
Receivables	₱4,508,667	₱3,488,676
Contract assets	1,936,372	1,697,811
	₱6,445,039	₱5,186,487
Total current	₱5,003,738	₱3,836,749
Total noncurrent	₱1,441,301	₱1,349,738
Financial liabilities at amortized cost		
Accounts and other payables	₱17,317,289	₱20,683,110
Short-term debt	9,334,274	250,000
Long-term debt	102,506,582	106,181,976
Service concession obligations	16,189,800	15,111,116
Customers' guaranty deposits and other deposits	440,652	389,641
	₱145,788,597	₱142,615,843
Total current	₱35,560,123	₱28,539,728
Total noncurrent	₱110,228,474	₱114,076,115

18. Fair Value Measurement

The carrying amounts approximate fair values for the Group's financial assets and liabilities due to their short-term maturities except for the following financial assets and liabilities as of September 30, 2025 and December 31, 2024:

September 30, 2025				
	Carrying Value	Fair Value Quoted Market Prices (Level 1)	Fair Value Significant Observable Inputs (Level 2)	Fair Value Significant Unobservable Inputs (Level 3)
	(In Thousands)			
Financial assets at amortized cost, net of ECL				
Contract assets from TWD, and CIWD	₱1,580,785	₱—	₱—	₱3,727,776
Other financial liabilities				
Long-term debt	₱102,506,582	₱28,827,257	₱—	₱74,183,499
Service concession obligations	16,189,800	—	—	17,953,943
Customers' guaranty deposits and other deposits	440,652	—	—	159,273
	₱119,137,034	₱28,827,257	₱—	₱92,296,715
December 31, 2024				
	Carrying Value	Fair Value Quoted Market Prices (Level 1)	Fair Value Significant Observable Inputs (Level 2)	Fair Value Significant Unobservable Inputs (Level 3)
	(In Thousands)			
Financial assets at fair value				
Derivative assets*	₱—	₱—	₱—	₱—
Financial assets at amortized cost, net of ECL				
Contract assets from TWD, and CIWD	₱1,456,593	₱—	₱—	₱4,033,943
	₱1,456,593	₱—	₱—	₱4,033,943
Other financial liabilities				
Long-term debt	₱106,181,976	₱28,609,148	₱—	₱76,982,799
Service concession obligations	15,111,116	—	—	18,079,588
Customers' guaranty deposits and other deposits	389,641	—	—	158,215
	₱121,682,733	₱28,609,148	₱—	₱95,220,602

*As of September 30, 2025 and December 31, 2024, the Group has no outstanding hedging instruments as a result of unwinding and dedesignation of all its existing hedges in 2024.

The methods and assumptions used by the Group in estimating the fair value of the long-term financial assets at amortized cost and other financial liabilities such as long-term debt, service concession obligations, and customers' guaranty deposits and other deposits are as follows:

- The fair values of the US dollar-denominated bonds are based on quoted prices. The fair values of financial assets at amortized cost, and other financial liabilities are estimated using the discounted cash flow methodology using the Group's current incremental borrowing rates for similar borrowings with maturities consistent with those remaining for the liability being valued.
- The discount rates used for PHP-denominated loans were 0.5% to 8.00% in 2025 and 2024, while the discount rates used for foreign currency-denominated loans ranged from 7.00% to 9.25% in 2025 and 2024.

The Group enters into derivative financial instruments with various counterparties, principally financial institutions with investment grade credit ratings. As of September 30, 2025 and December 31, 2024, the Group has no outstanding hedging instruments as a result of unwinding and dedesignation of all its existing hedges in 2024.

Fair Value Hierarchy

During the periods ended September 30, 2025 and December 31, 2024, there were no transfers between Level 1 and Level 2 fair value measurements and no transfers into and out of Level 3 fair value measurement.

19. Financial Risk Management Objectives and Policies

The Group's principal financial instruments comprise of cash and cash equivalents, contract assets from TWD and CIWD, short-term debt, long-term debt, and service concession obligations. The main purpose of the Group's financial instruments is to fund its operations and capital expenditures. The main risks arising from the use of financial instruments are interest rate risk, foreign exchange risk, credit risk and liquidity risk. The Group has other financial assets such as trade receivables and payables which arise directly from the conduct of its operations.

The Parent Company's BOD reviews and approves the policies for managing each of these risks. The Group monitors risks arising from all financial instruments and regularly report financial management activities and the results of these activities to the Parent Company's BOD. In addition, the Group ensures that all loan covenants are complied with.

The Group's risk management policies are disclosed in full in its audited consolidated financial statements as of December 31, 2024 and updates to these risks are summarized below:

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to interest rate risk relates primarily to its financial instruments with floating and/or fixed rates. Fixed rate financial instruments are subject to fair value interest rate risk while floating rate financial instruments are subject to cash flow interest rate risk.

The Group's policy is to manage the interest payments using a mix of fixed and variable rate debts to minimize the Group's exposure to changes in interest rates primarily from its long-term debt. As of September 30, 2025 and December 31, 2024, the Group's mix of fixed interest and floating interest rate of long-term debt are 38% to 62%.

As of September 30, 2025 and December 31, 2024 the fixed interest rate of the Group's foreign currency denominated long-term debt is 4.375% and 5.16% to 8.90% for Peso denominated long-term debt. Floating interest rates are based on 6-month SOFR plus margin, PHP BVAL Reference Rates and BSP Term facility rate plus margin as of September 30, 2025 and December 31, 2024.

Foreign exchange risk

The Group's foreign exchange risk results primarily from movements of the PHP against the USD, JPY and CAD on its short-term, long-term debt and service concession obligations. Substantially all revenues are generated in PHP while majority of capital expenditures are also in PHP. Approximately 36% and 38% of debt, including bonds payable, as of September 30, 2025 and December 31, 2024, respectively, are denominated in foreign currency.

The BOD approved the Foreign Exchange Risk Policy to help the Parent Company properly address or mitigate the adverse effects of foreign exchange volatility to its profit and loss through the employment of various risk mitigation strategies which include several derivative structures. As an enhancement on the foreign exchange risk management strategy approved by the BOD on February 24, 2022, the Parent Company shall maximize the use of available accounting hedges and shall take into account the capitalization of foreign exchange

losses pertaining to capitalizable foreign currency-denominated loans as and when possible to minimize the adverse effect of foreign exchange volatility to profit and loss while managing overall cost that includes hedging costs.

The Group manages its foreign currency risk by hedging transactions that are expected to occur upon maturity of the hedged long-term debts. When a derivative is entered into for the purpose of being a hedge, the Group negotiates the terms of the derivative to match the terms of the hedged exposure.

As of September 30, 2025 and December 31, 2024, the Group has no outstanding hedging instruments as a result of unwinding and dedesignation of all its existing hedges in 2024.

Information on the Group's foreign currency-denominated monetary assets and liabilities and their Philippine Peso equivalents are as follows:

	September 30, 2025		December 31 2024	
	Original Currency	Peso Equivalent	Original Currency	Peso Equivalent
	(In Thousands)		(In Thousands)	
Assets				
Cash and cash equivalents:				
USD	USD3,535	₱205,717	USD8,911	₱515,481
VND	VND3,454,990	7,609	VND1,740,766	3,951
IDR	IDR36,586	128	IDR1,287,223	4,608
THB	THB627,162	1,124,354	THB3,933	6,663
SGD	SGD10	430	SGD2	81
Accounts receivable:				
USD	USD9,153	532,640	USD5,185	298,257
SAR	SAR326	5,048	SAR3,366	52,010
THB	THB100	179	THB100	169
IDR	IDR12,897	45	IDR14,190	51
VND	VND—	—	VND9,666,069	21,940
Other current assets:				
THB	THB6,566	11,772	THB17,537	29,708
USD	USD311	18,109	USD462	26,751
GBP	GBP4	330	GBP34	2,493
SGD	SGD3	155	SGD4	179
Other noncurrent assets:				
SGD	SGD38	1,732	SGD30	1,281
VND	VND71,516	158	VND1,656	4
IDR	IDR—	—	IDR10,836,508	38,797
		1,908,406		1,002,424
Liabilities				
Accounts payable:				
USD	USD—	—	USD1,166	67,472
IDR	IDR12,932,523	45,089	IDR12,863,931	46,055
THB	THB15,241	27,324	THB58,381	98,900
SGD	SGD9	420	SGD54	2,293
VND	VND381,372	840	VND161,045	366
Long-term debt:				
USD	USD695,634	40,483,134	USD698,642	40,412,975
CAD	CAD873	36,412	CAD873	35,154
Service concession obligations:				
USD	USD75,575	4,398,142	USD81,320	4,703,953
JP¥	JP¥8,263	3,228	JP¥74,353	27,302
		44,994,589		45,394,470
Net foreign currency-denominated liabilities		(₱43,086,183)		(₱44,392,046)

The closing exchange rates used were ₱58.1960 to US\$1, ₱41.7088 to CAD1, ₱68.0717 to EUR1, ₱77.9736 to GBP1, ₱0.0035 to IDR1, ₱0.3907 to JP¥1, ₱0.0275 to MMK1, ₱15.4766 to SAR1, ₱45.0112 to SGD1, ₱1.7928 to THB1, 0.0022 to VND1 and ₱0.2055 to PKR1 in 2025; and ₱57.8450 to US\$1, ₱40.2679 to CAD1, ₱60.4738 to EUR1, ₱72.6799 to GBP1, ₱0.0036 to IDR1, ₱0.3672 to JP¥1, ₱0.0273 to MMK1, ₱15.4539 to SAR1, ₱42.6919 to SGD1, ₱1.6940 to THB1, ₱0.0023 to VND1 and ₱0.2086 to PKR1 in 2024.

Under their respective concession agreements, the Parent Company and Boracay Water have a natural hedge on foreign exchange risks on their loans and concession fee payments through a recovery mechanism in their respective tariffs (see Notes 1 and 13).

On May 10, 2023, the seventh Amendment of the Parent Company's RCA includes FCDA that will be based on the following: (1) Forex gains or losses arising from the payments to service the debt of MWSS Loans; and (2) forex gains or losses arising from principal payments of loans, limited to the list of loans provided in the RCA. Forex gains or losses on additional/new foreign currency denominated loans secured and drawn after June 29, 2022 onwards shall be recovered through Modified FCDA. As of September 30, 2025 and December 31, 2024, deferred FCDA in the balances of the Parent Company amounted to ₱6,067.77 million and ₱6,135.18 million, respectively.

In 2025, MWSS BOT approved the implementation of FCDA for the 2nd, 3rd and 4th quarters of 2025 pursuant to the provisions of the Amended RCA (refer to Note 4 - Parent Company's 2025 FCDA).

- *Cash flow hedges for foreign currency risks*

On July 23, 2020, the Parent Company issued a ten (10)-year term, USD denominated bond amounting to USD500 million. To mitigate the foreign currency risk exposure associated with the bond, the Parent Company entered and designated a USD/PHP non-deliverable deferred premium currency option transaction as hedging instrument for the USD100.00 million out of the USD500.00 million denominated bond.

On May 24, 2024 the Parent Company has pre-terminated the currency option with the counterparty bank. Consequently, the Group discontinued the application of cash flow hedge accounting. At the date of unwinding, the Group retained the OCI related to the cash flow hedge reserve amounting to ₱543.52 million (₱407.64 million, net of tax), until the related hedged cash flow has been paid.

On September 30, 2025 and 2024, the Group recognized amortization of OCI on dedesignated cash flow hedge (net of tax) amounting to ₱48.27 million and nil, respectively. As of September 30, 2025 and December 31, 2024, unrealized gain of ₱311.09 million and ₱359.37 million, respectively, relating to the currency options are deferred in other comprehensive income.

- *Hedge of net investments in foreign operations*

To further mitigate the foreign currency risk exposure of the Parent Company, it designated its USD100 million bond as a hedge of its net investment in MWAP. MWAP is the Parent Company's wholly owned foreign holding company, with USD as its functional currency.

On December 27, 2024, as the foreign currency risk management of the Group has changed due to the reinstatement of the FCDA, the Group has dedesignated the net investment hedge on its investment in MWAP. Any amount accumulated in cumulative translation adjustment will only be recycled to profit or loss when the original hedged investment is disposed of.

For the period ended September 30, 2025 and December 31, 2024, loss of nil and ₱243.63 million, respectively, was recognized by the Parent Company. The translation of this borrowing was recognized in CTA in equity, offsetting the gains and losses on translation of the investment in MWAP.

Given the dedesignation of the above hedges in 2024, the Group has no outstanding hedging instruments as of September 30, 2025 and December 31, 2024.

The impact of the hedged items on the statement of financial position as of September 30, 2025 is nil. The impact of the hedged items on the statement of financial position as of December 31, 2024 follows:

2024	Notional amount	Change in fair value *	Cash flow hedge reserve*	Cost of hedging reserve*
USD100 Mn Bonds – Currency Option Transaction	\$100,000,000	₱563,944,760	₱563,944,760	₱–
USD100 Mn Bonds – Net Investment Hedge	\$100,000,000	182,721,363	–	–
		₱746,666,123	₱563,944,760	₱–

The effect of cash flow hedge in the statement of profit or loss as of September 30, 2025 is nil. The effect of the cash flow hedge in the statement of profit and loss and OCI as of December 31, 2024 follows:

2024	Total hedging gain (loss) recognized in OCI*	Ineffectiveness recognized in profit or loss	Line item in profit or loss	Amount reclassified from OCI to profit or loss	Line item in profit or loss
USD100 Mn Bonds – Currency Option Transaction	₱563,944,760	(₱1,944,542)	Interest expense	₱271,596,329	Foreign exchange gains (losses)
USD100 Mn Bonds – Net Investment Hedge	182,721,363	–	–	243,628,484	Foreign exchange gains (losses)
	₱746,666,123	(₱1,944,542)		₱515,224,813	

Credit risk

The information about the credit risk exposure on the Group's receivables and contract assets using a provision matrix follows:

September 30, 2025							
	Current	Days Past Due					
	Standard Grade	Less than 30 Days	30 to 60 Days	61 to 90 Days	Over 90 Days	Expected Credit Loss	Total
(In Thousands)							
Receivables							
Customers	₱861,171	₱1,067,122	₱388,738	₱171,593	₱1,289,118	₱1,611,354	₱5,389,096
Employees	14,904	—	—	—	—	5	14,909
Interest from banks	12,388	—	—	—	—	—	12,388
Others	703,633	—	—	—	—	57,990	761,623
	1,592,096	1,067,122	388,738	171,593	1,289,118	1,669,349	6,178,016
Contract assets	1,936,372	—	—	—	—	316,892	2,253,264
	₱3,528,468	₱1,067,122	₱388,738	₱171,593	₱1,289,118	₱1,986,241	₱8,431,280
December 31, 2024							
	Current	Days Past Due					
	Standard Grade	Less than 30 Days	30 to 60 Days	61 to 90 Days	Over 90 Days	Expected Credit Loss	Total
(In Thousands)							
Receivables							
Trade receivables	₱924,529	₱901,648	₱345,374	₱180,858	₱643,443	₱1,473,021	₱4,468,873
Employees	30,127	—	—	—	—	5	30,132
Interest from banks	17,721	—	—	—	—	—	17,721
Others	444,976	—	—	—	—	57,990	502,966
	1,417,353	901,648	345,374	180,858	643,443	1,531,016	5,019,692
Contract assets	1,697,811	—	—	—	—	316,375	2,014,186
	₱3,115,164	₱901,648	₱345,374	₱180,858	₱643,443	₱1,847,391	₱7,033,878

Liquidity risk

The Group's financial assets used for liquidity management based on their maturities are as follows:

	September 30, 2025			
	Within 1 year	1 to 5 years	More than 5 years	Total – Gross
	(in Thousands)			
Assets:				
Cash and cash equivalents	₱6,119,510	₱—	₱—	₱6,119,510
Receivables:				
Customers	5,389,096	—	—	5,389,096
Employees	14,909	—	—	14,909
Interest from banks	12,388	—	—	12,388
ZCWD	39,510	—	—	39,510
Others	722,113	—	—	722,113
Contract assets from TWD and CIWD*	147,270	1,031,843	941,686	2,120,799
	₱12,444,796	₱1,031,843	₱941,686	₱14,418,325

*Undiscounted cash flows

	December 31, 2024			
	Within 1 year	1 to 5 years	More than 5 years	Total – Gross
	(in Thousands)			
Assets:				
Cash and cash equivalents	₱7,436,738	₱—	₱—	₱7,436,738
Receivables:				
Customers	4,468,873	—	—	4,468,873
Employees	30,132	—	—	30,132
Interest from banks	17,721	—	—	17,721
ZCWD	39,510	—	—	39,510
Others	463,456	—	—	463,456
Contract assets from TWD and CIWD*	118,633	956,763	1,164,037	2,239,433
	₱12,575,063	₱956,763	₱1,164,037	₱14,695,863

*Undiscounted cash flows

The Group's financial liabilities based on contractual undiscounted payments:

September 30, 2025				
	Within 1 year	1 to 5 years	More than 5 years	Total – Gross
	(in Thousands)			
Liabilities:				
Accounts and other payables	₱17,317,291	₱–	₱–	₱17,317,291
Short-term debt	9,334,274	–	–	9,334,274
Long-term debt*	10,015,740	77,396,044	21,568,010	108,979,794
Service concession obligation*	1,661,484	6,981,467	22,597,159	31,240,110
Lease liabilities*	110,105	173,532	76,201	359,838
Other noncurrent liabilities	–	–	1,251,228	1,251,228
	₱38,438,894	₱84,551,043	₱45,492,598	₱168,482,535

*Includes contractual interest cash flows

December 31, 2024				
	Within 1 year	1 to 5 years	More than 5 years	Total – Gross
	(in Thousands)			
Liabilities:				
Accounts and other payables	₱20,683,110	₱–	₱–	₱20,683,110
Short-term debt	250,000	–	–	250,000
Long-term debt*	10,750,182	78,837,714	26,350,255	115,938,151
Service concession obligation*	1,691,980	7,039,667	23,296,975	32,028,622
Lease liabilities*	97,570	212,720	163,789	474,079
Other noncurrent liabilities	–	–	1,238,801	1,238,801
	₱33,472,842	₱86,090,101	₱51,049,820	₱170,612,763

*Includes contractual interest cash flows

Capital management

As of September 30, 2025 and December 31, 2024, the entities within the Group are compliant with their respective financial loan covenants.

MANAGEMENT'S DISCUSSION & ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITION

The following management's discussion and analysis (MD&A) of Manila Water Company, Inc. and subsidiaries' (Group) financial condition and results of operations should be read in conjunction with the Group's audited financial statements, including related notes. This report may contain forward-looking statements that involve risks and uncertainties. The actual results may differ materially from those discussed in the forward-looking statements as a result of various factors, including but not limited to, economic, regulatory, socio-political, financial, and other risk factors.

Any references in this MD&A to "our", "us", "we", "MWCI", "Enterprise" or the "Group" shall refer to Manila Water Company, Inc., including its subsidiaries. Any reference to "Manila Water Company", "Manila Water", "MWC" or "the Company" shall refer to the Parent Company only.

Additional information about the Group, including recent disclosures of material events and annual/ quarterly reports, are available at our corporate website at <https://www.manilawater.com>.

OVERVIEW OF THE BUSINESS

Manila Water Company holds the right to provide water and used water services to the eastern side of Metro Manila ("Manila Concession" or "East Zone") under a Concession Agreement (CA) entered into between the Company and the Metropolitan Waterworks and Sewerage System (MWSS) in August 1997. The original term of the concession was for a period of 25 years to expire in 2022. The Company's concession was extended by another 15 years by MWSS and the Philippine Government in 2009, thereby extending the term from May 2022 to May 2037.

The Company provides water treatment, water distribution, sewerage and sanitation services to more than seven million people in the East Zone, comprising a broad range of residential, semi-business, commercial and industrial customers. The East Zone encompasses (24) cities and municipalities spanning a 1,400-square kilometer area that include Makati, Mandaluyong, Pasig, Pateros, San Juan, Taguig, Marikina, most parts of Quezon City, portions of Manila, Parañaque, as well as the following towns of Rizal: Angono, Antipolo, Baras, Binangonan, Cainta, Cardona, Jala-Jala, Morong, Pililia, Rodriguez, San Mateo, Tanay, Taytay, and Teresa.

Under the terms of the CA, the Company has the right to the use of land and operational fixed assets, and the right, as agent and concessionaire of MWSS, to extract and treat raw water, distribute, and sell water, and collect, transport, treat and dispose used water, including reusable industrial effluent discharged by the sewerage system in the East Zone. The Company is entitled to recover over the concession period its operating, capital maintenance and investment expenditures, business taxes, and concession fee payments, and to earn a rate of return on these expenditures for the remaining term of the concession.

On March 31, 2021, MWSS and the Company entered into the Revised Concession Agreement (RCA) which has a term of up to July 31, 2037. The RCA was to become effective within six (6) months from March 31, 2021 and upon satisfaction of the conditions precedent ("Effective Date"). The Company and MWSS subsequently executed six (6) amendments to the RCA extending its Effective Date to allow time to complete the remaining condition precedent which is the Undertaking Letter from the Republic. The Sixth Amendment was executed on May 19, 2022 extending the Effective Date to June 30, 2022.

On June 30, 2022, the RCA did not take effect due to the Republic's failure to submit the prescribed Undertaking Letter. Any changes adopted by the Company in relation to the RCA were thus reverted to the terms provided in the original CA, except the following as provided under the Company's franchise discussed below.

1. The removal of VAT from the customer bills of Manila Water and Maynilad resulting from the grant of the Legislative Franchises to the Concessionaires, subject to the National Internal Revenue Code of 1997, as amended, and the relevant rules of the Bureau of Internal revenues; and
2. The imposition of Government Taxes in the customers' bills as pass-through costs comprised of a national franchise tax at the rate of 2.00% and actual implemented rates of local franchise tax for each local government unit starting March 21, 2022.

The above removal of VAT and the imposition of franchise tax were also approved by the MWSS Board of Trustees (BOT) in Resolution No. 2022-025-RO, Series 2022, on March 2, 2022.

On May 10, 2023, the Company and MWSS executed a seventh Amendment to the RCA (the "Amendment"). The parties agreed that the RCA and the seventh Amendment are deemed to be effective as of June 29, 2022. The Republic also issued a new Undertaking Letter effective as of July 1, 2022, superseding the Undertaking Letter dated June 24, 2022.

After the execution of the RCA on March 31, 2021, Manila Water was granted a legislative franchise through Republic Act (RA. No.) 11601 which was signed into law on December 10, 2021 and became effective on January 25, 2022. Said law grants Manila Water the franchise to establish, operate and maintain a waterworks and sewerage system in the East Zone Service Area of Metro Manila and the Province of Rizal for a period of twenty-five (25) years (until 2047) and confirms the status of Manila Water as a public utility. Section 5 of RA No. 11601 provides that the Concession Agreement shall serve as the certificate of public convenience and necessity, license or permit of Manila Water for the operation of its waterworks and sewerage system.

Under RA 11601, "Concession Agreement" refers to the agreement between the grantee and MWSS on February 21, 1997, including its amendment dated October 26, 2001, and the Memorandum of Agreement and Confirmation dated October 23, 2009, as amended by the Revised Concession Agreement dated March 31, 2021, or as may thereafter be amended.

RA 11601 also provides that when public interest for affordable water security requires and upon application by Manila Water, MWSS is authorized to approve the amendment of the Concession Agreement to extend its term up to the term of the franchise.

Pursuant to the franchise, the Company applied for the extension of the term of the RCA for another 10 years or until 2047, to align with the term of its Franchise. On November 9, 2023, after due notice to the public, the MWSS-Regulatory Office (RO) conducted a public hearing for the extension of the expiration date of the RCA.

On July 1, 2025, the Parent Company received the formal notice of the Economy and Development Council of the Department of Economy, Planning, and Development approving the extension of the expiration term of the RCA between MWSS and MWC, from July 31, 2037 to January 21, 2047.

Aside from the Manila Concession, the Group has a holding company for all its domestic operating subsidiaries in Manila Water Philippine Ventures, Inc. (MWPVI). Currently under MWPVI are (1) bulk water supply businesses under Metro Ilagan Water Company, Inc. (Ilagan Water), Manila Water Consortium, Inc. (MW Consortium), with subsidiary – Cebu Manila Water Development, Inc. (Cebu Water), Davao del Norte Water Infrastructure Company, Inc. (Davao Water), with subsidiary – Tagum Water Company, Inc. (Tagum Water); (2) water distribution and used water services businesses namely, Boracay Island Water Company (Boracay Water), Clark Water Corporation (Clark Water), Laguna AAWater Corporation (Laguna Water), Calbayog Water Company, Inc. (Calbayog Water), North Luzon Water Company, Inc. (North Luzon Water), Leyte Water Company, Inc. (Leyte Water) and Filipinas Water Consortium Holdings Corp. (Filipinas Water), subsidiaries of Filipinas Water – MWPV South Luzon Water Corp. (South Luzon Water), Metro Ilagan Water Company (Ilagan Water), Obando Water Company, Inc. (Obando Water) and Bulakan Water Company, Inc. (Bulakan Water). Bulakan Water and Obando Water were divested by the Group in October 2024. Another subsidiary of Manila Water is Calasiao Water Company, Inc. (Calasiao Water), a water supply project for the Calasiao Water District; and (3) business-to-business water and wastewater service businesses comprised of Aqua Centro MWPV Corp. (Aqua Centro), Bulacan MWPV Development Corporation (BMDC), Manila Water Technical Ventures, Inc. (MWTV), and EcoWater MWPV Corp. (EcoWater). Under MWPVI is a division, Estate Water, which operates and manages the water systems of townships led by Ayala Land, Inc. Beginning 2021, Estate Water provides wastewater services to Ayala Malls. On April 19, 2021, MWPVI and Aqua Centro entered into a Novation Agreement with Adauge Commercial Corporation whereby MWPVI assigns and transfers its rights, duties and obligations under the MOA with ALI Group to Aqua Centro for Atria Development (Iloilo City).

The holding company for Manila Water's International ventures is Manila Water Asia Pacific Pte. Ltd. (MWAP). Under MWAP are two affiliated companies in Vietnam, namely Thu Duc Water B.O.O. Corporation (Thu Duc Water) and Kenh Dong Water Supply Joint Stock Company (Kenh Dong Water), both supplying treated water to Saigon Water Corporation (SAWACO) under a take-or-pay arrangement. Also, under MWAP are Saigon Water Infrastructure Corporation (Saigon Water) and Cu Chi Water Supply Sewerage Company, Ltd. (Cu Chi Water).

Apart from its operations in Vietnam, MWAP has associates in Thailand and Indonesia through Eastern Water Resources Development and Management Public Company Limited (East Water), a fully integrated water supply and distribution company listed in the Stock Exchange of Thailand (SET), and PT Sarana Tirta Ungaran (PT STU), an industrial water supply operation in Indonesia, respectively. In 2025, the Group has fully divested its investment in East Water.

In the Middle East, Manila Water has two Management, Operation and Maintenance Contracts (MOMC) with the National Water Company (NWC) of the Kingdom of Saudi Arabia for its North West and Eastern Clusters. The MOMC contains the management, operations, and maintenance of the water and wastewater facilities to be undertaken through the consortium of Manila Water with Saur SAS and Miahona Company over a seven-year contract period, which entails the implementation of enabling projects and the deployment of key personnel to manage the cluster and achieve Key Performance Indicators target set by NWC.

Lastly, Manila Water Infratech Solutions Inc. (MWIS), a wholly-owned subsidiary, handles after-the-meter products and services including pipe-laying, integrated wastewater services, and the incubation of new sector businesses.

CONSOLIDATED FINANCIAL PERFORMANCE

Group net income for the period ended September 30, 2025 increased 25% from the same period last year to ₱12,667 million.

The Group's key financial performance indicators are discussed below:

(in millions)	For the period ended September 30			
	2025	2024	Increase (Decrease)	%
Total revenues*	₱30,053	₱27,547	₱2,506	9%
Total cost and expenses (excluding depreciation and amortization)	8,693	8,750	(57)	(1%)
Other income (expenses) – net	461	353	108	31%
Equity share in net income of associates	377	294	83	28%
Other income (expenses) – net	84	59	25	42%
Earnings before interest, income taxes, depreciation, and amortization (EBITDA)	21,821	19,150	2,671	14%
Depreciation and amortization expense	3,910	3,733	177	5%
Income before interest income (expenses) and foreign exchange gains (losses)	17,911	15,417	2,494	16%
Interest expense – net	(2,301)	(2,428)	127	(5%)
Foreign exchange gains – net	3	280	(277)	(99%)
Other income – net	1,368	438	930	212%
Income before income tax	16,981	13,707	3,274	24%
Provision for income tax	3,833	3,217	616	19%
Net income from continuing operations	13,148	10,490	2,658	25%
Net loss after tax from discontinued operations ¹	–	(1)	1	100%
Net income	13,148	10,489	2,659	25%
Non-controlling interests*	481	386	95	25%
Net income attributable to MWC	₱12,667	₱10,103	₱2,564	25%

*Non-controlling interest is an ownership position whereby a shareholder owns less than 50% of outstanding shares.

Consolidated operating revenues increased 9% to ₱30,053 million in 2025 from ₱27,547 million the same period last year. Said increase was driven by the 11% increase in average tariff by the Parent Company effective January 2025, partially offset by a 1% decrease in billed volume mainly due to lower cross-border revenues. This growth was further supported by the 5% increase in billed volume from the Non-East Zone (NEZ) Philippines and tariff hikes from Clark Water, Boracay Water, Cebu Water and Estate Water. For the period ended September 30, 2025, the Group derived 75% of its operating revenues from the sale of water, while 19% came from environmental and sewer charges. Other revenues, which account for the balance, consist of supervision fees, connection fees, after-the-meter services, service income from bulk water arrangements, and finance income from contract assets, among others.

Aside from factors which occur in the normal course of business, Management does not have any knowledge of material trends, events or uncertainties which it deems will have a material impact on revenues.

(in millions)	For the period ended September 30			
	2025	2024	Increase (Decrease)	%
Personnel costs	₱2,206	₱2,175	₱31	1%
Direct costs	3,901	4,027	(126)	(3%)
Premises costs	496	501	(5)	(1%)
Overhead costs	732	787	(55)	(7%)
Other cost and expenses	1,358	1,260	98	8%
Total cost and expenses	₱8,693	₱8,750	(₱57)	(1%)

Consolidated cost of services and expenses for the period ended September 30, 2025 decreased by 1% to ₱8,693 million from ₱8,750 million in the same period last year, mainly due to lower direct costs and overhead costs, partially offset by increase in personnel and other costs and expenses. On a per cost category, direct costs decreased due to the combined effect of the following: 1) lower power costs from Angat maximization, solar power utilization and lower fuel for gensets in East Zone (EZ), partially offset by higher power costs in NEZ; 2) lower passed on charges from payment facilities; 3) lower chemical costs from lower turbidity in Angat water source; offset by 4) higher IT costs due to higher subscription fees and software maintenance. Overhead costs decreased mainly due to lower donations; offset by higher ECL and higher taxes and licenses. On the other hand, personnel costs increased due to higher variable pay driven by higher EBITDA, offset by lower compensation and benefits

¹ For the periods ended September 30, 2025 and 2024, the Group presented as a single amount in its consolidated statement of income the post-tax net loss of its discontinued operations in Zamboanga Water and the Healthy Family division of MWIS.

from lower headcount. Other costs and expenses also increased mainly due to CPI adjustment in regulatory costs and higher management fees.

Other income increased mainly due to the cessation of net loss recognition from East Water investment (fully impaired in December 2024 and divested in September 2025), offset by lower performance of Saigon Water and Kenh Dong Water driven by flat revenue, coupled with forex impact and slight increase in OPEX. Consequently, consolidated EBITDA increased by 14% to end at ₱21,821 million in 2025, with an EBITDA margin of 73%.

Depreciation and amortization increased by 5% to ₱3,910 million mainly due to completion of new CAPEX projects in EZ and units-of-production (UOP) adjustment from Laguna Water in December 2024, offset by impact of service concession extension of Boracay Water and longer useful life of Cebu bulk water assets. Net interest expense was lower by 5% from the same period last year at ₱2,301 million, mainly driven by higher interest capitalization in 2025 and lower interest rates. Forex gains decreased by 99% driven by hedge unwinding and FCDA adjustments in 2024. Below EBITDA other income increased mainly due to the gain from the divestment of fully impaired East Water investment, offset by lower liquidated damages and SCO reversal on EZ's bulk water contract. Lastly, provision for income tax increased to ₱3,833 million mainly driven by the Group's higher taxable income and deferred tax on depreciation.

BUSINESS UNITS' FINANCIAL AND OPERATING PERFORMANCE

Parent Company – East Zone

Net income of the Parent Company stood at ₱10,578 million for the period, 13% higher than the same period last year. This was driven primarily by the 11% increase in average tariff, as the Parent Company implemented the third tranche of the approved Rate Rebasing adjustment starting January 2025. This was partially offset by 1% decrease in billed volume mainly from lower cross-border revenues.

	For the period ended September 30			
	2025	2024	Increase (Decrease)	%
Operating Highlights				
Billed volume (in million cubic meters)*	393.8	396.1	(2.3)	(1%)
Average tariff (in Pesos per cubic meter)**	₱59.5	₱53.4	₱6.1	11%
Number of billed connections***	1,112,699	1,096,992	15,707	1%
Collection efficiency****	98.5%	97.7%	0.8 ppt	
Non-revenue water*****	14.5%	13.2%	1.3 ppts	
Financial Highlights (in millions)				
Revenues	₱24,053	₱21,775	₱2,278	10%
Cost and expenses (excluding depreciation and amortization)	5,940	5,886	54	1%
EBITDA	18,157	15,946	2,211	14%
Net income	₱10,578	₱9,325	₱1,253	13%

*Billed volume is the amount of water billed to customers, which is measured in million cubic meters (mcm)

**Average tariff is water revenue and environmental charges over billed volume

***Billed connections is the number of water service connections in the concession area, which is measured by count

****Collection efficiency is total amount collected over total revenue billed for the period; this metric is among the regulatory KPIs being monitored by MWSS

*****Non-revenue water refers to the volume of water lost in the Company's distribution system due to leakage, pilferage, illegal connections, and metering errors. As determined by the MWSS-RO, NRW is calculated as the percentage of water lost against the net volume of water supplied by the Company.

Revenues in 2025 increased by 10% to ₱24,053 million from ₱21,775 million from the same period last year primarily driven by tariff adjustment. Cost and expenses for the period slightly increased by 1% at ₱5,940 million. Main cost variances were driven by the following: 1) higher systems costs driven by CPI adjustment in regulatory costs and higher management fees; 2) higher IT costs due to higher subscription fees and software maintenance; 3) higher personnel costs mainly driven by higher variable pay from higher EBITDA; offset by 4) lower power costs mainly driven by Angat maximization, solar power utilization and lower deepwell operations; 5) lower chemical costs due to better water quality from Angat water source; and 6) lower passed on charges from payment facilities.

With the above movements, EBITDA in 2025 increased by 14% to ₱18,157 million from ₱15,946 million versus same period last year. EBITDA margin stood at 75% for the period ended September 30, 2025.

Meanwhile, amortization and depreciation increased by 5% to ₱3,187 million mainly due to completion of new CAPEX projects. Net interest expense decreased by 6% to ₱1,381 million mainly due to higher borrowing cost capitalization and lower interest rates. Decrease in forex gains was mainly due to unwinding of net investment hedge in December 2024 and FCDA adjustment in 2024.

Below EBITDA other income decreased by 26% to ₱326 million mainly due to lower liquidated damages and SCO reversal on EZ's bulk water contract. Lastly, provision for income tax increased by 20% to ₱3,341 million due to higher taxable income and deferred tax on depreciation.

Non-East Zone (NEZ) – Philippines

The following discussion covers the consolidated results of NEZ – Philippines, driven mainly by its core domestic operating subsidiaries in Boracay Water, Clark Water, Laguna Water, and Estate Water (a division of MWPV).

	For the period ended September 30			
	2025	2024	Increase (Decrease)	%
Operating Highlights				
Billed volume (in million cubic meters)	97.5	93.5	4.0	4%
Financial Highlights (in millions)				
Revenues	₱7,005	₱6,499	₱506	8%
Cost and expenses (excluding depreciation and amortization)	3,499	3,171	328	10%
EBITDA	3,541	3,331	210	6%
Net income attributable to MWC	₱1,136	₱1,081	₱55	5%

NEZ – Philippines ended September 30, 2025 with ₱1,136 million net income, with 5% increase from the net income in the same period last year. This was mainly driven by the continuous improvement in its revenues, in line with increase in billed volume coupled with tariff increases by certain core business units.

On a consolidated MWPV level, revenues were higher by 8% at ₱7,005 million, mainly attributable to the tariff hike implementation in Clark Water, Boracay Water and Estate Water Group and higher tariff for Cebu Water's bulk water contract starting February 2024. The increase was further supported by higher construction revenue from MWIS and increment from the acquisition of LARC operations mid-April of 2024. The improvement in topline revenue was partially tempered by increase in costs and expenses to ₱3,499 million for the period September 30, 2025 from ₱3,171 million same period last year. The increase was mainly due to the following: 1) increase in MWIS project costs from higher project accomplishments; 2) increase in shared management and professional fees; 3) increase in bulk water costs from higher volume and tariff from Estate Water; and 4) increment from the operating costs of LARC.

The movements in MWPV Group's revenues and costs resulted to a 6% improvement in EBITDA from ₱3,331 million in 2024 to ₱3,541 million in 2025. EBITDA margin was kept steady at 51%.

Depreciation and amortization decreased by 2% to ₱723 million mainly due to impact of service concession extension of Boracay Water and longer useful life of Cebu bulk water assets offset by UOP adjustment in Laguna Water in December 2024. Net interest expense decreased to ₱674 million due to loan repayments and higher capitalized interest in 2025. Lastly, provision for income tax increased 28% to ₱487 million due to higher taxable income.

Below is a summary of the results of MWPV's core subsidiaries which contribute 75% of total revenues of NEZ – Philippines:

	For the period ended September 30			
	2025	2024	Increase (Decrease)	%
Clark Water				
Billed volume (in million cubic meters)*	10.6	10.3	0.3	3%
Average tariff (in Pesos per cubic meter)**	₱49.6	₱45.7	₱3.9	9%
Revenues (in millions)	₱526	₱471	₱55	12%
Net income (in millions)	₱185	₱116	₱69	59%
Billed connections***	1,891	1,932	(41)	(2%)
Non-revenue water****	6.4%	5.4%	1.0ppts	19%
Laguna Water				
Billed volume (in million cubic meters)*	33.4	33.9	(0.5)	(1%)
Average tariff (in Pesos per cubic meter)**	₱67.5	₱66.4	₱1.1	2%
Revenues (in millions)	₱2,254	₱2,251	₱3	0%
Net income (in millions)	₱784	₱909	(₱125)	(14%)
Billed connections***	135,453	132,205	3,248	2%
Non-revenue water****	23.9%	25.2%	(1.3 ppt)	(5%)
Boracay Water				
Billed volume (in million cubic meters)*	2.6	2.7	(0.1)	(4%)
Average tariff (in Pesos per cubic meter)**	₱225.8	₱218.5	₱7.3	3%
Revenues (in millions)	₱587	₱590	(₱3)	(1%)
Net income (loss) (in millions)	₱164	₱88	₱76	86%
Billed connections***	6,059	5,741	318	6%
Non-revenue water****	21.3%	22.7%	(1.4 ppts)	(6%)

(Forward)

For the period ended September 30				
	2025	2024	Increase (Decrease)	%
Estate Water				
Supervision fees*****	₱119.5	₱161.4	(₱41.9)	(26%)
Billed volume (in million cubic meters)*	13.6	13.13	0.5	4%
Average tariff (in Pesos per cubic meter)	₱79.6	₱69.6	₱9.9	14%
Revenues (in millions)	₱1,906	₱1,587	₱319	20%
Net income (in millions)	₱246	₱145	₱101	70%
Billed Connections	37,763	38,174	(411)	(1%)

*Billed volume is the amount of water billed to customers, which is measured in million cubic meters (mcm)

**Average tariff is revenue over billed volume

***Billed connections is the number of water service connections in the concession area, which is measured by count

****Non-revenue water refers to the volume of water lost in the Company's distribution system due to leakage, pilferage, illegal connections, and metering errors. NRW is calculated as the percentage of water lost against the net volume of water supplied by the Company

*****Supervision fee is a fee or charge paid by the customer to the Company in exchange for the latter's assurance of potable water and/or effective wastewater services in new developments

Clark Water's billed volume increased by 3% to 10.6 million cubic meters (mcm) for the period ended September 30, 2025. The increase in billed volume coupled with tariff hike implemented in 2025 resulted in Clark Water's revenue to increase by 12% to 526 million for the period ended September 30, 2025. Further, cost and expenses slightly decreased 6% from 2024 to ₱221 million due to decreased direct cost from lower power cost rates and consumption as well as lower repairs and maintenance costs due to operational efficiencies. Consequently, Clark Water's net income increased by 59% to ₱185 million for the period ended September 30, 2025.

Laguna Water's billed volume decreased by 2% compared to the same period last year mainly due to decreased consumption from its industrial accounts. Accordingly, Laguna Water's revenues remained flattish year-on-year at ₱2,254 million. Further, cost and expenses decreased 3% from 2024 to ₱767 million mainly due to decrease in direct costs from lower repairs and maintenance, overhead cost from lower ECL provision and management and professional fees. Depreciation and amortization, however, increased due to the UOP adjustment in December 2024. These movements resulted in a 14% decrease in net income to ₱784 million for the period ended September 30, 2025.

Boracay Water's billed volume decreased by 4% to 2.6 mcm for the period ended September 30, 2025. As a result, Boracay Water's revenue was slightly down by ₱3 million decrease offset by 4.7% increase in tariff implemented in 2025. Meanwhile, its cost and expenses slightly decreased by 1% from 2024 to ₱214 million. Depreciation and amortization also decreased due to the impact of concession agreement extension beginning December 2024. These movements resulted to an improved performance of Boracay Water with a net income position of ₱164 million for the period ended September 30, 2025.

Estate Water, a division of MWPV, posted billed volume growth of 4% to 13.6 mcm for the period ended September 30, 2025 despite slight decrease in billed connections by 1%. The increase in billed volume coupled with the 14% increase in average tariff for its developments resulted to a substantial increase in Estate Water's revenue by 20% to ₱1,906 million for the period September 30, 2025. Estate Water closed the period with a net income of ₱246 million, a 70% increase from the same period last year.

NEZ – International

The following discussion covers the consolidated results of MWAP which comprise the NEZ – International business of the Group. Specifically, these are the performance contributions of associates in Vietnam, Thailand, Indonesia, and the Kingdom of Saudi Arabia.

For the period ended September 30				
	2025	2024	Increase (Decrease)	%
Operating Highlights				
Billed volume (in million cubic meters)*	165.6	529.9	(364.3)	(69%)
Financial Highlights (in millions)				
Equity share in net income of associates**	₱376.8	₱294.0	₱82.8	28%
Cost and expenses (excluding depreciation and amortization)	89.6	57.0	32.6	57%
EBITDA	295.1	240.0	55.1	23%
Other income – gain from divestment	1,069.1	–	1,069.1	100%
Net income attributable to MWC	₱1,115.2	₱19.0	₱1,096.2	5769%

*Billed volume is the amount of water billed to customers, which is measured in million cubic meters (mcm); Not attributable to MWC

**Under the equity method, an investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share of net assets of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment separately.

Billed volume decreased due to the divestment of East Water investment in September 2025 and divestment of Saigon Water's investment in Tan Heip in December 2024. On a consolidated level, NEZ – International's net income increased by 5769% to ₱1,115 million mainly driven by the gain recognized from the divestment

of fully impaired East Water investment in September 2025, coupled with higher equity share in net income of associates which increased by 28% to ₱377 million for the period ended September 30, 2025. The main driver for the increase in equity share was the cessation of net loss recognition from East Water investment, partially offset by lower performance of Saigon Water and Kenh Dong Water driven by flat revenue and slight increase in operating costs.

Cost and expenses increased 57% to ₱90 million mainly driver by higher new business development (NBD) costs for ongoing projects. With the movements in equity share and costs, EBITDA improved by 23% to ₱295 million for the period ended September 30, 2025. Below EBITDA interest expense decreased by 2% to ₱274 million for the period ended September 30, 2025 due to loan repricing.

Below is a summary of the results of associates under NEZ – International:

(in millions)	For the period ended September 30			
	2025	2024	Increase (Decrease)	%
East Water at 18.72% contribution, before adjustment	₱–	(₱1.6)	₱1.6	(100%)
Impact of fair value amortization	–	110.2	(110.2)	(100%)
East Water at 18.72% contribution, adjusted*	–	(111.8)	111.8	(100%)
Thu Duc Water at 49.00% contribution	223.0	227.5	(4.5)	(2%)
Kenh Dong Water at 47.35% contribution	137.4	150.7	(13.3)	(9%)
Saigon Water at 37.99% contribution	(16.3)	(11.5)	(4.8)	42%
PT STU at 20.00% contribution	1.1	3.1	(2.0)	(65%)
IWP at 20.00% contribution	7.4	16.4	(9.0)	(55%)
IWP2 at 30.00% contribution	24.2	19.6	4.6	23%
Total equity share in net income of associates	₱376.8	₱294.0	₱82.8	28%

	For the period ended September 30			
	2025	2024	Increase (Decrease)	%
Thu Duc Water				
Billed volume (in million cubic meters)	81.8	82.6	(0.8)	(1%)
Net income – VAS (in million VND)	110,604	113,444	(2,840)	(3%)
Thu Duc Water at 49.00% contribution (in million Php)	₱223.0	₱227.5	(₱4.5)	(2%)
Revenues (in million VND)	296,457	299,026	(2,569)	(1%)
COS and Operating Expenses (in million VND)	105,931	103,156	2,775	3%
EBITDA (in million VND)	190,526	195,870	(5,344)	(3%)
Kenh Dong Water				
Billed volume (in million cubic meters)	52.1	52.2	(0.1)	(0%)
Net income – VAS (in million VND)	92,911	95,727	(2,816)	(3%)
Kenh Dong Water at 47.35% contribution (in million Php)	₱137.4	₱150.7	(₱13.3)	(9%)
Revenues (in million VND)	242,250	242,140	110	0%
COS and Operating Expenses (in million VND)	103,364	99,990	3,374	3%
EBITDA (in million VND)	138,885	142,150	(3,265)	(2%)
Saigon Water				
Billed volume (in million cubic meters)	27.2	100.9	(73.7)	(73%)
Net loss – VAS (in million VND)	(18,484)	(13,251)	(5,233)	39%
Saigon Water at 37.99% contribution (in million Php)	(₱16.2)	(₱11.5)	(₱4.7)	41%
Revenues (in million VND)	215,853	268,832	(52,979)	(20%)
COS and Operating Expenses (in million VND)	166,395	149,339	17,056	11%
EBITDA (in million VND)	49,458	119,493	(70,035)	(59%)
PT STU				
Billed volume (in million cubic meters)	4.5	4.9	(0.4)	(8%)
Net income (in million IDR)	2,613	5,048	(2,435)	(48%)
PT STU at 20% contribution (in million Php)	₱1.1	₱3.1	(₱2.0)	(65%)
Revenues (in million IDR)	20,980	21,904	(924)	(4%)
COS and Operating Expenses (in million IDR)	16,779	15,327	1,452	9%
EBITDA (in million IDR)	4,201	6,577	(2,376)	(36%)
East Water*				
Billed volume (in million cubic meters)	–	289.3	(289.3)	(100%)
Net income (in million THB)	–	5.6	(5.6)	(100%)
East Water at 18.72% contribution (in million Php)	–	(₱111.8)	₱111.8	(100%)
Revenues (in million THB)	–	2,442	(2,442)	(100%)
COS and Operating Expenses (in million THB)	–	1,797	(1,797)	(100%)
EBITDA (in million THB)	–	646	(646)	(100%)

(Forward)

	For the period ended September 30			
	2025	2024	Increase (Decrease)	%
International Water Partners (IWP)				
Billed volume (in million cubic meters)	—	—	—	—
Net income (in million SAR)	3.0	6.3	(3.3)	(52%)
IWP at 20% contribution (in million Php)	₱7.4	₱16.4	(₱9.0)	(55%)
Revenues (in million SAR)	23	31	(8)	(26%)
COS and Operating Expenses (in million SAR)	20	24	(4)	(17%)
EBITDA (in million SAR)	3	8	(5)	(63%)
International Water Partners the Second (IWP2)				
Billed volume (in million cubic meters)	—	—	—	—
Net income (in million SAR)	6.3	3.2	3.1	97%
IWP at 20% contribution (in million Php)	₱24.2	₱19.6	₱4.6	23%
Revenues (in million SAR)	32	28	4	14%
COS and Operating Expenses (in million SAR)	24	23	1	4%
EBITDA (in million SAR)	8	5	3	60%

Thu Duc Water's billed volume slightly declined by 1% at 81.8 mcm for the period ended September 30, 2025 which resulted to 2% decrease in its revenues under Vietnamese Accounting Standards (VAS) at VND296 billion. Cost and expenses for the period increased by 3% to VND106 billion driven by higher BOD remuneration, TSA charges, and power costs, partially offset by lower general and administrative expenses. As a result, EBITDA decreased by 3% to VND191 billion. These movements resulted to lower Thu Duc Water's VAS net income by 3% at VND111 billion. The equity share in net income of Thu Duc Water amounted to ₱223 million for the period ended September 30, 2025, 2% lower than last year. This is equivalent to MWAP's 49% stake in Thu Duc Water.

Kenh Dong Water's billed volume for the period ended September 30, 2025 slightly decreased by 0.1% to 52.1 mcm driven by lower reading days. Despite this, Kenh Dong Water's VAS revenues remained flat at VND242 billion for the period ended September 30, 2025. Costs and expenses, however, increased by 3% to VND103 billion, mainly due to higher direct materials, power, and maintenance expenses. As a result, EBITDA declined by 2% to VND139 billion, leading to a 3% drop in VAS net income to VND93 billion. The equity share in net income of Kenh Dong Water amounted to ₱137 million for the period ended September 30, 2025, 9% lower than last year. This is equivalent to MWAP's 47.35% stake in Kenh Dong Water.

MWAP's investment in Saigon Water, a public water holding company in Vietnam with 4 subsidiaries and 1 associate, recorded a total consolidated billed volume of 27.2 mcm for the period ended September 30, 2025, which is 73% lower from the same period last year due to the divestment of its investment in Tan Hiep Water in 2024. Saigon Water's revenues decreased by 20% to VND216 billion, while cost and expenses increased by 11% to VND166 billion for the period ended September 30, 2025 mainly due to higher repairs and maintenance for connection pipes and transformers in CuChi project. With these movements, Saigon Water ended the period with a higher net loss at VND18 billion, 39% higher from last year. The equity share in net loss of Manila Water's 37.99% stake in Saigon Water amounted to (₱16 million) for the period ended September 30, 2025.

For PT STU, an industrial bulk water operation in Indonesia, billed volume for the period ended September 30, 2025 slightly decreased by 8% at 4.5 mcm versus last year due to transfer of production of its 2 existing industrial customers partially offset by additional billed connections in 2025. Accordingly, PT STU's revenue decreased by 4% at IDR21 billion for the period. Cost and expenses also increased 11% to IDR17 billion due to increase in power costs, personnel expenses and repairs and maintenance. These movements resulted to a lower net income at IDR3 billion, lower by 48% from the same period last year. Equity share in net income of PT STU for the period ended September 30, 2025 amounted to ₱1 million, representing the 20% stake of Manila Water.

*For East Water, on July 25, 2025, the Parent Company's BOD approved the divestment of MWTC's 311,433,190 shares in East Water, representing an 18.72% equity stake. The sale was completed on September 5, 2025, via a block sale through the Stock Exchange of Thailand at THB 2.00 per share, resulting in total gross proceeds of THB 622.9 or ₱1,069.6 million. In 2025, the total proceeds was recognized as gain from divestment of associate following the full impairment of investment in December 2024. Accordingly, as of September 30, 2025, information for East Water were not presented in the tables above.

Lastly, the Consortium of Saur SAS, Miahona Company, and the Parent Company in the Kingdom of Saudi Arabia, IWP and IWP2 posted equity share for the period ended September 30, 2025 of ₱7 million and ₱24 million, respectively, representing Manila Water's 20% and 30% stake, in IWP and IWP2. The increase in total contribution of IWP2 was mainly due to higher margins on performance fees and network improvement fees. On the other hand, IWP1's contribution decreased due to lower margins on base fees, coupled with increase in operating expenses.

CONSOLIDATED BALANCE SHEET

Total assets increased to ₱241.67 billion from December 31, 2024 mainly due to the increase in the Group's capital expenditures. Cash and cash equivalents decreased by 18% to ₱6.12 billion due to the Group's capital expenditures and net payments of dividends, debt and interest.

The Group's balance sheet is strong, with the Company remaining compliant with loan covenants. Debt maturity profile is spread out.

(in millions)	September 30, 2025	December 31, 2024	Increase (Decrease)	%
Assets	₱241,673	₱227,944	₱13,729	6%
Cash and cash equivalents	6,120	7,437	(1,317)	(18%)
Other assets*	26,865	26,738	127	0%
Service concession assets** and Property, plant and equipment	208,688	193,769	14,919	8%
Liabilities	₱155,730	₱150,609	₱5,121	3%
Equity	₱85,943	₱77,335	₱8,608	11%

Ratios

EZ Bank debt to equity	1.21x	1.21x
Return on equity (ROE)	21%	15%

*Other assets are current and non-current

**Service concession assets (SCA) are the assets used to provide water and used water services to customers. SCA consists of constructed assets, as well as Concession Fees paid to MWSS.

Total liabilities as of September 30, 2025 increased to ₱155.73 billion from ₱150.61 billion as of December 31, 2024. Bank debt increased due to additional drawdowns, net of loan repayments.

As of September 30, 2025, total equity increased due to the Group's improved performance offset by the dividends declared. For the period ended September 30, 2025, EZ's bank debt to equity was at 1.21x. Average cost of debt for the Group was at 6.05%, while ROE was at 21%.

Management does not have knowledge of any material trends, events, or uncertainties outside the normal course of business which it deems will have a material impact on liquidity. Likewise, Management does not have any knowledge of imminent events that will trigger direct or contingent financial obligation that is material to the Company, including any default or acceleration of an obligation.

CONSOLIDATED CAPITAL EXPENDITURES

Total capital expenditures for the Group increased by 4% to end at ₱17.50 billion for the period September 30, 2025, with ₱14.88 billion or 85% of said amount accounted for by the East Zone Concession. Majority of the East Zone Concession's capital expenditures were spent on wastewater expansion, network reliability and water supply projects in line with attaining service obligations outlined in its government-approved Rate Rebasing Service Improvement Plan. Said projects will be financed by internally generated funds and debt that are ably supported by the Company's strong balance sheet.

Meanwhile, total capital expenditures of the domestic subsidiaries amounted to 15% or ₱2.62 billion for the period ended September 30, 2025. Laguna Water and Estate Water spent ₱1.20 billion and ₱0.7 billion, respectively, for its water and greenfield and brownfield projects, while the balance was taken on by the remaining subsidiaries for their various projects.

RECENT MATERIAL EVENTS

Rate Rebasing Adjustment for Charging Years 2023 to 2027

Beginning January 2023 through 2027, the Parent Company implemented the new tariff rates based on the MWSS Board of Trustees (BOT) Resolution No. 2022-148-RO approved on November 10, 2022. The Resolution outlines the Parent Company's Rebasing Adjustment for the Sixth Rate Rebasing Period (2023 to 2027) as recommended by the MWSS Regulatory Office (RO) Resolution No. 2012-12-CA. The implementation of Rebasing Adjustment from 2023 to 2027 on a staggered basis is scheduled as follows:

- ₱8.04 on January 1, 2023,
- ₱5.00 on January 1, 2024,
- ₱3.25 on January 1, 2025,
- ₱1.91 to ₱3.00 on January 1, 2026, and
- ₱1.05 to ₱1.08 on January 1, 2027.

Effective January 1, 2025, the Parent Company implemented the third tranche of the approved Rate Rebasing Adjustment equivalent to 8.15% and adjustment due to changes in Consumer Price Index equivalent to 3.30% on the existing Basic Charge, based on MWS-RO Resolution No. 2024-21-CA dated November 22, 2024 and as approved by the MWSS Board Resolution No. 2024-186-RO dated December 5, 2024. Accordingly, the Parent Company was allowed to raise its rate by an average of ₱4.84 per cubic meter.

The approval also lles an Indicative adjustment of about 0.97 to 1.00 or 2.12% on January 1, 2028 due to non-full recovery of the total expenses for the Wawa Bulk Water Supply Project in compliance with MWSS BOT. However, this amount will be subject to the next Rate Rebasing exercise.

Furthermore, the environmental charge increased from 20% to 25% beginning January 1, 2023, and will increase from 25% to 30% beginning January 1, 2026. Sewer charge increased from 30% to 32.85% beginning January 1, 2023. Both increases are subject to Manila Water's attainment of sewer coverage of 30% by the end of 2025.

Parent Company's 2025 Foreign Currency Denominated Adjustments (FCDA)

In 2025, MWSS BOT approved the implementation of FCDA for the 2nd, 3rd and 4th quarters of 2025 pursuant to the provisions of the Amended RCA, as follows:

Approval date	FCDA Adjustment	Impact to Tariff
March 12, 2025	1.39% of the 2025 average basic charge of ₱47.10 per cubic meter (/cum) or ₱0.65/cum	Upward adjustment by an average of ₱0.04 per cubic meter effective April 1, 2025
May 27, 2025	1.12% of the 2025 average basic charge of ₱47.10/cum or ₱0.53/cum	Downward adjustment by an average of ₱0.12 per cubic meter effective July 1, 2025
September 12, 2025	0.80% of the 2025 average basic charge of ₱47.10/cum or ₱0.38/cum	Downward adjustment by an average of ₱0.15 per cubic meter effective October 1, 2025

Parent Company's Approval of the 10-year Concession Agreement Extension

The Parent Company submitted a request to MWSS for the extension of the expiration of the term of its RCA with MWSS from July 31, 2037 to January 21, 2047, in accordance with the Parent Company's legislative franchise, Republic Act No. 11601. This was approved by the MWSS and then endorsed to the Department of Economy, Planning, and Development (formerly National Economic and Development Authority) pursuant to Republic Act No. 11966, the new Public-Private Partnership Code.

On July 1, 2025, the Parent Company received the formal notice from the Economy and Development Council of the Department of Economy, Planning, and Development approving the extension of the expiration term of the RCA between MWSS and MWC, from July 31, 2037 to January 21, 2047.

Parent Company's Acquisition of Wawa JV Company

On June 27, 2025, the Parent Company signed a binding term sheet with Prime Infrastructure Inc. ("PII") and relevant minority shareholders for the sale and purchase of 100% ownership interest of WawaJVCo, Inc. ("WawaJVCo"). The number of shares to be acquired are 3,048,780 common shares, 4,760,618 non-voting preferred shares, and ₱1,534,717,807 of deposits for future stock subscription for non-voting preferred shares to be issued. The price per common share is ₱11,202.83 for majority shares and ₱6,377.78 for minority shares; while the price per preferred share is ₱1,000.00.

The payment of consideration price will be scheduled as agreed upon by the parties in their definitive agreement. The parties will execute a definitive agreement, subject to the fulfillment of conditions precedent, including obtaining the consent of MWSS.

WawaJVCo was established to develop, operate and maintain the Wawa Bulk Water Supply Project to augment Metro Manila's raw water supply. Its asset portfolio includes the Tayabasan Weir, located in Antipolo, and the Upper Wawa Dam, located in Rodriguez, both in Rizal, with current contracted capacity of 518 million liters per day (MLD), and additional available capacity of up to 200MLD. The facility currently transports water from the Upper Wawa Dam to the downstream Calawis treatment facility of MWC, and will supply water to the Kaysakat and Pasig treatment facilities once completed.

The Parent Company considered the acquisition strategically aligned with its long-term operational and water security objectives. In anticipation of the full operation of the Upper Wawa Dam, it has been determined that the Parent Company is best placed to directly manage, operate, and optimize the Upper Wawa Dam to ensure technical compatibility, system efficiency, and operational synergies. This will provide greater focus and flexibility in water resource allocation, while allowing for more efficient operations and overall cost management of the facility.

Declaration of Cash Dividends

On February 24, 2025, the Board of Directors during its meeting, approved the declaration of cash dividends amounting to ₱1.841 per share on the outstanding common shares, ₱0.184 per share on the outstanding unlisted participating preferred shares, and accumulated fixed cash dividends of ₱0.01 per share on the outstanding unlisted participating preferred shares. The record date is March 10, 2025, and payment date is March 28, 2025.

ANALYSIS OF MATERIAL CHANGES (+/- 5% OR MORE) IN THE UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

Income Statement Items – For the period ended September 30, 2025 (Unaudited) vs. September 30, 2024 (Unaudited)

Revenues

	For the period ended September 30			
	2025	2024	Increase (Decrease)	%
	(Amounts in thousands)			
Revenue from contracts with customers				
Water and used water revenues	₱28,294,817	₱26,045,906	₱2,248,911	9%
Other operating revenues	1,586,737	1,363,177	223,560	16%
Finance income from contract assets	170,964	137,983	32,981	24%
	₱30,052,518	₱27,547,066	₱2,505,452	9%

Water and used water revenues – 9% increase

Increase of ₱2,248.91 million mainly driven by the billed volume growth in NEZ and increase in average tariff both in the EZ and certain core NEZ business units, partially offset by slight decrease in EZ billed volume.

Other operating revenues – 16% increase

Increase of ₱223.56 million was primarily attributed to higher construction revenue from MWIS, higher bulk water revenue from Cebu, offset by lower cross border revenues.

Finance income from contract assets – 24% increase

Increase of ₱32.98 million mainly due to finance income amortization from additional capital expenditures of Metro Iligan and Tagum.

Costs of Services

	For the period ended September 30			
	2025	2024	Increase (Decrease)	%
	(Amounts in Thousands)			
Depreciation and amortization	₱3,420,534	₱3,274,208	₱146,326	4%
Power, light and water	1,696,368	1,819,059	(122,691)	(7%)
Salaries, wages and employee benefits	1,033,183	1,026,250	6,933	1%
Repairs and maintenance	413,719	390,275	23,444	6%
Contractual services	403,399	311,571	91,828	29%
Regulatory costs	384,088	360,164	23,924	7%
Water treatment chemicals	233,135	302,219	(69,084)	(23%)
Wastewater costs	147,160	163,281	(16,121)	(10%)
Amortization of water service connections	141,417	132,065	9,352	7%
Collection fees	80,267	121,415	(41,148)	(34%)
Water 34inking and bulk water	79,384	150,729	(71,345)	(47%)
Other expenses	404,653	398,691	5,962	1%
	₱8,437,307	₱8,449,927	(₱12,620)	0%

Power, light and water – 7% decrease

Decrease of ₱122.69 million was mainly driven by Angat maximization, solar power utilization and lower fuel consumption for gensets in EZ, partially offset by higher power costs in NEZ.

Repairs and maintenance – 6% increase

Increase of ₱23.44 million was due mainly due to EZ ramp up of preventive maintenance activities in 2025.

Contractual services – 29% increase

Increase of ₱91.83 million was mainly due to EZ water-tankering, water-reading costs and desludging costs, and NEZ-Ph higher headcount for facilities and laboratory technicians and higher meter-reading activities.

Regulatory costs – 7% increase

Increase of ₱23.92 million was due to CPI adjustment on East Zone's concession fees and higher revenues of PH business units.

Water treatment chemicals – 23% decrease

Decrease of ₱69.08 million mainly due to better water quality in Angat.

Wastewater costs – 10% decrease

Decrease of ₱16.21 million was driven by lower volume of desludging activities by the Parent Company.

Amortization of water service connections – 7% increase

Increase of ₱9.35 million was driven mainly by higher connections in EZ.

Collection fees – 34% decrease

Decrease of ₱41.15 million was mainly due to lower passed on charges on payment facilities in EZ.

Water 35inkering and bulk water – 47% decrease

Decrease of ₱71.35 million was mainly due to lower third party tinkering cost, and bulk water expense of NEZ-Ph divested entities last year.

Operating expenses

	For the period ended September 30			
	2025	2024	Increase	%
Total operating expenses	₱4,183,844	₱4,032,226	₱151,618	4%

Operating expenses – 4% increase

Increase of ₱151.62 million was mainly driven by higher depreciation, management fees, and provisions for penalties, offset mainly by decrease in donations.

Other Income (Expenses)

	For the period ended September 30			
	2025	2024	Increase (Decrease)	%
	(Amounts in Thousands)			
Revenue from rehabilitation works	16,912,152	₱16,237,206	₱674,946	4%
Cost of rehabilitation works	(16,912,152)	(16,237,206)	(674,946)	4%
Interest expense	(2,495,515)	(2,730,796)	235,281	(9%)
Foreign exchange losses – net	(253,376)	(590,464)	337,088	(57%)
Foreign currency differentials	256,716	870,537	(613,821)	(71%)
Equity share in net income of associates	376,826	293,909	82,917	28%
Interest income	194,863	302,165	(107,302)	(36%)
Gain on disposal of associate	1,069,099	–	1,069,099	100%
Gains (losses) on disposal of assets	4,637	(83)	4,720	(5687%)
Other income – net	396,990	497,563	(100,573)	(20%)
	(₱449,760)	(₱1,357,169)	₱907,409	(67%)

Interest expense – 9% decrease

Decrease of ₱235.28 million was mainly driven by higher interest capitalization in 2025 and lower interest rates.

Forex gains (losses) and foreign currency differentials – 99% decrease

Decrease of ₱276.73 million was mainly due to unwinding of hedges and FCDA adjustment last year.

Equity share in net income of associates – 28% increase

Increase of ₱82.92 million was mainly due to the cessation of net loss recognition from East Water investment (fully impaired in December 2024 and divested in September 2025), offset by lower performance of Saigon Water and Kenh Dong Water driven by flat revenue, coupled with FX impact and slight increase in OPEX.

Interest income – 36% decrease

Decrease of ₱107.30 million due to lower interest rates and cash position during the period.

Gains on disposal of associate – 100% increase

Increase of ₱1,069.10 million was due gain from the divestment of fully impaired East Water investment in September 2025.

Gains on disposal of property and equipment – 5687% increase

Increase of ₱4.72 million was due to higher proceeds on the disposals made during the period.

Other income (losses) – 20% decrease

Decrease of ₱100.57 million was due to lower liquidated damages and SCO reversal on EZ's bulk water contract.

Provision for income tax – 19% increase

Increase of ₱616.15 million due to the Group's higher taxable income and deferred tax on depreciation.

Balance Sheet Items – As of September 30, 2025 (Unaudited) vs. December 31, 2024 (Audited)

	September 30, 2025	December 31, 2024	Increase (Decrease)	%
(Amount in Thousands)				
ASSETS				
Current Assets				
Cash and cash equivalents	₱6,119,510	₱7,436,738	(₱1,317,228)	(18%)
Receivables	4,508,667	3,488,676	1,019,991	29%
Contract assets – current portion	495,070	348,073	146,997	42%
Inventories	478,846	448,634	30,212	7%
Other current assets	2,131,696	2,071,916	59,780	3%
Total Current Assets	13,733,789	13,794,037	(60,248)	0%
Noncurrent Assets				
Property, plant and equipment and software	9,455,605	9,512,197	(56,592)	(1%)
Service concession assets	199,242,764	184,257,465	14,985,299	8%
Right-of-use assets	454,791	503,360	(48,569)	(10%)
Contract assets – net of current portion	1,441,302	1,349,738	91,564	7%
Investments in associates	7,355,214	7,186,264	168,950	2%
Goodwill	146,377	146,377	–	0%
Deferred tax assets – net	426,144	503,289	(77,145)	(15%)
Other noncurrent assets	9,417,019	10,690,815	(1,273,796)	(12%)
Total Noncurrent Assets	227,939,216	214,149,505	13,789,711	6%
	241,673,005	227,943,542	13,729,463	6%
LIABILITIES AND EQUITY				
Current Liabilities				
Accounts and other payables	17,317,289	20,683,110	(3,365,821)	(16%)
Short-term debt	9,304,274	250,000	9,054,274	3622%
Current portion of:				
Long-term debt	8,159,464	6,969,973	1,189,491	17%
Service concession obligations	779,095	636,645	142,450	22%
Contract liabilities	578,053	502,678	75,375	15%
Lease liabilities	115,795	96,510	19,285	20%
Income tax payable	1,172,241	717,439	454,802	63%
Total Current Liabilities	37,426,211	29,856,355	7,569,856	25%
Noncurrent Liabilities				
Noncurrent portion of:				
Long-term debt	94,377,118	99,212,003	(4,834,885)	(5%)
Service concession obligations	15,410,705	14,474,471	936,234	6%
Contract liabilities	1,247,657	1,189,013	58,644	5%
Lease liabilities	261,645	305,096	(43,451)	(14%)
Pension liabilities – net	530,805	500,169	30,636	6%
Deferred tax liabilities – net	4,455,613	3,138,320	1,317,293	42%
Provisions	769,033	694,285	74,748	11%
Other noncurrent liabilities	1,251,228	1,238,801	12,427	1%
Total Noncurrent Liabilities	118,303,804	120,752,158	(2,448,354)	(2%)
Total Liabilities	155,730,015	150,608,513	5,121,502	3%

(Forward)

	September 30, 2025	December 31, 2024	Increase (Decrease)	%
Equity				
Attributable to equity holders of Manila Water Company, Inc.				
Capital stock:				
Common stock	₱2,885,796	₱2,885,796	₱—	0%
Preferred stock	400,000	400,000	—	0%
	3,285,796	3,285,796	—	0%
Additional paid-in capital	14,552,117	14,532,720	19,397	0%
Treasury shares				
Common stock	(4,861,432)	(4,949,053)	87,621	(2%)
Preferred stock	(752,978)	(752,978)	—	0%
Subscriptions receivable	(5,527,529)	(5,601,286)	73,757	(1%)
Total paid-up capital	6,695,974	6,515,199	180,775	3%
Retained earnings:				
Appropriated	59,515,564	59,515,564	—	0%
Unappropriated	17,025,900	9,831,766	7,194,134	73%
Cumulative translation adjustment	128,480	(616,535)	745,015	(121%)
Hedging reserves	311,094	359,367	(48,273)	(13%)
Remeasurement loss on defined benefit plans	(165,124)	(228,371)	63,247	(28%)
Equity in other comprehensive income of associates	(688)	7,099	(7,787)	(110%)
Other equity reserves	(144,458)	(144,458)	—	0%
	83,366,742	75,239,631	8,127,111	11%
Noncontrolling interests	2,576,248	2,095,398	480,850	23%
Total Equity	85,942,990	77,335,029	8,607,961	11%
	₱241,673,005	₱227,943,542	13,729,463	6%

Cash and cash equivalents – 18% decrease

Decrease of ₱1,317.23 million was due to the Group's capital expenditures and net payments of debt, dividends and interest.

Receivables – net – 29% increase

Increase of ₱1,019.99 million was mainly due to increase in the Group's revenue.

Contract assets (current and noncurrent) – 14% increase

Increase of ₱238.56 million was mainly due to higher revenue from bulk water BUs and supervision fees for the period.

Inventories – 7% increase

Increase of ₱30.21 million was mainly due purchase and maintenance materials and water treatment chemicals for the expected increase in usage during the rainy season.

Service concession assets – 8% increase

Increase of ₱14,985.30 million was mainly from additional expenditures for water and waste water projects, net of amortization; and recognition of additional SCA on concession fees resulting from extension of EZ's concession agreement.

Right-of-use assets – 10% decrease

Decrease of ₱48.57 million was due nonrenewal of certain lease agreements in 2025, coupled with the amortization during the year.

Other noncurrent assets – 12% decrease

Decrease of ₱1,273.80 million was mainly due to decrease in FCDA as a result of peso depreciation, and application of advances to suppliers and contractors.

Accounts Payable – 16% decrease

Decrease of ₱3,365.82 million was due to payments made for the payables due, net of additional payables for operations.

Short-term debt – 3622% increase

Increase of ₱9,054.27 million was due mainly to additional short-term loan drawdowns from EZ and NEZ during the period.

Service concession obligations (current and noncurrent) – 7% increase

Increase of ₱1,078.68 million was mainly due to additional SCO on concession fees resulting from extension of EZ's concession agreement, offset by concession payments.

Contract liabilities (current and noncurrent) – 8% increase

Increase of ₱134.02 million was mainly due to unearned revenue from supervision fees in NEZ.

Lease liabilities (current and noncurrent) – 6% decrease

Decrease of ₱24.17 million was mainly due nonrenewal of certain lease agreements, coupled with payments during the year.

Income tax payable – 63% increase

Increase of ₱454.80 million was mainly due to higher income tax expense during the period.

Pension liabilities – net – 6% increase

Increase of ₱30.64 million was mainly driven pension liability accruals during the period.

Deferred tax liabilities – net – 53% increase

Increase of ₱1,394.44 million was mainly driven by the difference in the straight line and units of production depreciation, and capitalized borrowing cost.

Provisions – 11% increase

Increase of ₱74.75 million was mainly driven by additional provision for tax assessments during the period.

Unappropriated retained earnings – 73% increase

Increase of ₱7,194.13 million was due to the Group's improved performance in 2025, net of dividend declarations.

Cumulative translation adjustment – 121% decrease

Decrease of ₱745.02 million was due to depreciation of peso as of September 30, 2025.

Hedging reserves – 13% decrease

Decrease of ₱48.27 million was due to amortization of OCI on dedesignated cash flow hedge.

Remeasurement loss on defined benefit plans – 28% decrease

Decrease of ₱63.25 million was due to updates in actuarial assumptions.

Equity in other comprehensive income of associates – 110% decrease

Decrease of ₱7.79 million was due to the derecognition of share in OCI of East Water following the divestment in September 2025.

Noncontrolling interests – 23% increase

Increase of ₱480.85 million was due to the improved results of operations.

Liquidity and Capital Resources

The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank loans, and debentures. The Group's policy is to maintain a level of cash that is sufficient to fund its operating cash requirements for the next three (3) to six (6) months and any claim for refund of customers' guaranty deposits. Capital expenditures are funded through long-term debt, while operating expenses and working capital requirements are sufficiently funded through internally generated cash. Maturing debts are refinanced through a combination of long-term debt and internally generated cash.

Capital Sources

The Group's cash and cash equivalents as of September 30, 2025 ended at ₱6,119.51 million. For the period ended September 30, 2025, the Group had more cash inflows than expenditures provided by its operating and investing activities. Financing activities, however, required more cash outflows mainly needed for financing of property acquisitions and payment of dividends, debt and interest. The Group's improvement and expansion project implementation was funded by available credit lines, loan facilities from reputable local and international financing institutions.

Net Cash Provided by Operating Activities. Net cash provided by operations for the period ended June 30, 2025 amounted to ₱2,726.58 million primarily due to its improved operations offset by capital expenditures for the expansion of water and used water networks required under the respective concession arrangements of the Group amounting to ₱15,449.30 million. Excluding the effect of changes in service concession assets which are presented under cash flows from operating activities in accordance with IFRIC 12 and PAS 7, the Group's net cash inflow from operating activities amounted to ₱18,175.88 million.

Net Cash Provided by Investing Activities. Net cash provided by investing activities for the period ended September 30, 2025 amounted to ₱2,707.42 million. Cash was mainly from the proceeds for the divestment of associate amounting to ₱1,069.10, interest received during the year from cash in banks and cash equivalents amounting to ₱200.20 million, dividends received from associates amounting to ₱5.34 million, proceeds from sale of property and equipment amounting to ₱2.75 million and decrease in other noncurrent assets amounting to ₱2,136.69 million. This was partly offset by the acquisition of property, equipment and software amounting to ₱706.66 million.

Net Cash Used in Financing Activities. Net cash used in financing activities for the period ended September 30, 2025 amounted to ₱6,753.19 million which was mainly for the payment of dividends, long-term and short-term debt, interests, service concession obligations and lease liabilities aggregating to ₱27,502.99 million. The cash outflows were offset by the availments of short-term and long-term debt totaling ₱20,656.17 million and proceeds from collection of subscription receivable amounting to ₱73.76 million. Net cash from financing activities was also affected by the increase in other noncurrent liabilities amounting to ₱19.87 million.

Further details are disclosed in the Group's Interim Consolidated Statements of Cash Flows.

KEY VARIABLE AND OTHER QUALITATIVE AND QUANTITATIVE FACTORS

- a. The Group does not have any significant seasonality or cyclicity in its operations, except for the usually higher demand during the summer months of April to June.
- b. The Group has not made any modification to its existing debt and has not availed of any extension in debt servicing. As of September 30, 2025, there were no other known trends, demands, commitments, events or uncertainties that have material impact on the Group's liquidity and sales aside from those disclosed in the Note 4 of the unaudited interim consolidated financial statements.
- c. The Group has various contingent liabilities arising from the ordinary conduct of business which are either pending decision by the courts or are being contested, the outcomes of which are not presently determinable.
- d. There were no material off-balance sheet transactions, arrangements, and obligations created during the reporting period.
- e. Other than the items disclosed in the Note 4 of the unaudited interim consolidated financial statements, the Group did not acquire assets nor incur liabilities that are material in amount for the period ended September 30, 2025.

SUMMARY OF APPENDICES

- A. Board of Directors and Senior Management Team
- B. Manila Water Stock and Dividends Information
- C. Summary of Corporate Disclosures as of the 3rd Quarter of 2025
- D. East Zone Operations: Performance Indicators and Business Efficiency Measures
- E. Schedule of Average Tariff

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Signature and Title:



GIGI T. MIGUEL
Chief Finance Officer and Treasurer

November 14, 2025

PART II – OTHER INFORMATION

APPENDIX A

Board of Directors and Senior Management Team

The Board of Directors (the “Board”) has eleven (11) members elected by the Company’s stockholders entitled to vote at the annual meeting. The directors hold office for one (1) year and until their successors are elected and qualified in accordance with the Company’s By-laws.

The following are the members of the Board as of September 30, 2025:

Name	Position/Board Committee Membership
Enrique K. Razon, Jr.	Chairman of the Board of Directors Chairman of the Executive Committee
Jose Victor Emmanuel A. de Dios	President and Chief Executive Officer Chairman of the Environment, Social, and Governance Committee Member of the Executive Committee Member of the Talent and Remuneration Committee
Donato C. Almeda	Chief Regulatory Officer Member of the Executive Committee Member of the Board Risk Oversight Committee
Katrina Maria S. Razon	Member of the Board of Directors Member of the Environment, Social, and Governance Committee
Sandy A. Alipio	Member of the Executive Committee
Sherisa P. Nuesa	Lead Independent Director Chairperson of the Audit Committee Member of the Board Risk Oversight Committee Member of the Corporate Governance Committee Member of the Nomination Committee Member of the Environment, Social, and Governance Committee
Cesar A. Buenaventura	Chairman of the Board Risk Oversight Committee Member of the Audit Committee Member of the Corporate Governance Committee Member of the Related Party Transactions Committee Member of the Nomination Committee Member of the Environment, Social, and Governance Committee
Octavio Victor R. Espiritu	Chairman of the Corporate Governance Committee Chairman of the Talent and Remuneration Committee Chairman of the Nomination Committee Member of the Audit Committee Member of the Related Party Transactions Committee Member of the Environment, Social, and Governance Committee
Eric Ramon O. Recto	Chairman of the Related Party Transactions Committee Member of the Board Risk Oversight Committee Member of the Corporate Governance Committee Member of the Talent and Remuneration Committee
Jose Eduardo J. Alarilla	Member of the Executive Committee Member of the Nomination Committee Member of the Talent and Remuneration Committee
Stephen George A. Paradies	Member of the Audit Committee

Below are the Company's key officers as of September 30, 2025:

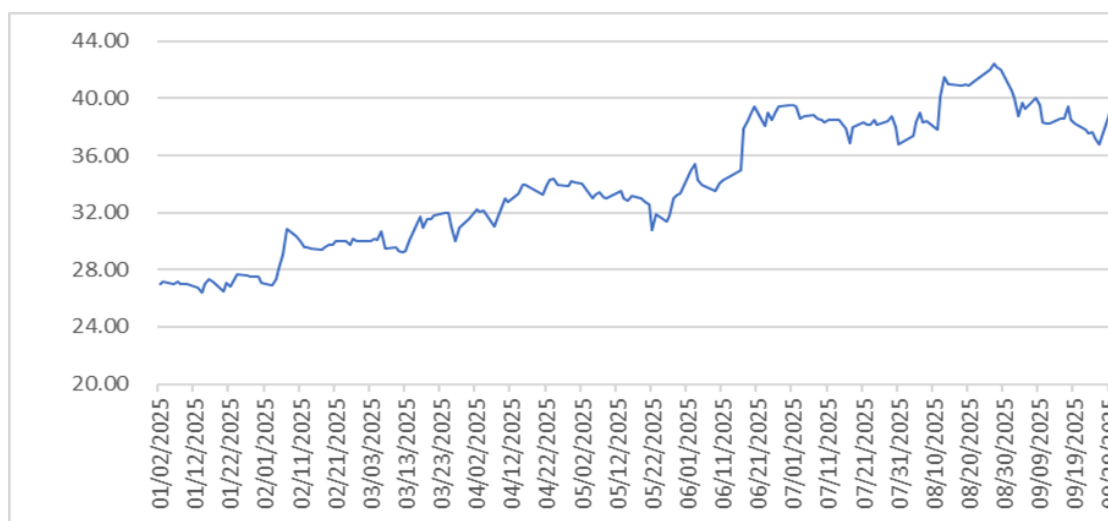
Name	Position
Enrique K. Razon, Jr.	Chairperson of the Board of Directors
Jose Victor Emmanuel A. de Dios	President and Chief Executive Officer
Donato C. Almeda	Chief Regulatory Officer
Roberto Jose R. Locsin	Chief Operating Officer for International Business <i>concurrent</i> Chief Administrative Officer
Gigi Iluminada T. Miguel	Chief Finance Officer and Treasurer
Amabelle C. Asuncion	Corporate Secretary, Chief Legal and Compliance Officer
Arnold Jether A. Mortera	Chief Operating Officer, East Zone
Melvin John M. Tan	Chief Operating Officer, Non-East Zone Philippines
Ana Mari B. Bentilanon	Finance Group Director, Group Controller
Shoebe Hazel B. Caong	Business Operations Group Director - East Zone and Data Protection Officer
Joemar B. Emboltorio	Operations Group Director- East Zone
Evangeline M. Clemente	Regulatory Management Group Director - East Zone <i>concurrent</i> SLT Technical Chief of Staff
Melissa M. Esagani	Information Technology Group Director- Enterprise and Chief Information Officer
Janine T. Carreon	Human Resources Group Director- Enterprise
Nestor Eric T. Sevilla	Communications Affairs Group Director- Enterprise
Jhoana B. Redoloza-Tamayor	Procurement Group Director- Enterprise
Valerie R. Tagana	Supply Chain Management Group Director- Enterprise
Michael M. Mayo	Engineering Group Director- Enterprise
Celso C. Tagle III	Finance Group Director- Strategic Finance
Ninez C. Maningat	Assistant Corporate Secretary
Mailene M. Cabral	Chief Audit Executive and Chief Risk Officer

For more information about each of the members of the Board and the key officers, please visit the Parent Company's website at www.manilawater.com.

APPENDIX B

Manila Water Stock and Dividends Information

Stock Chart (January 2, 2025 to September 30, 2025)



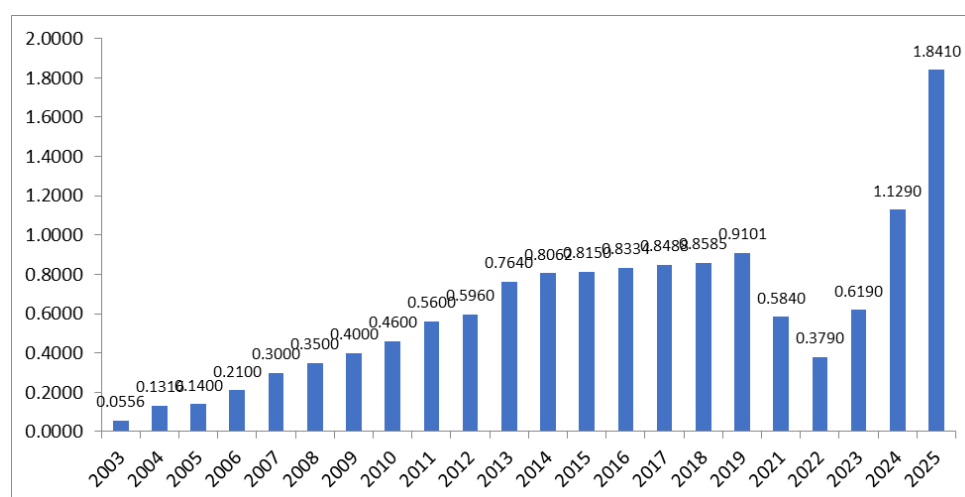
*Source: Bloomberg, Philippine Stock Exchange

The Parent Company was listed in the Philippine Stock Exchange on March 18, 2005 and its listed shares have since been actively traded therein. The high and low sale prices for each quarter that the Parent Company's shares have been listed are as follows:

	High / Low Sales			
	2025		2024	
	High	Low	High	Low
1 st Quarter	₱32.00	₱26.40	₱22.85	₱17.56
2 nd Quarter	40.00	30.60	27.90	21.00
3 rd Quarter	42.45	36.75	29.70	25.70
4 th Quarter	—	—	28.80	24.50

For the third quarter of 2025, the highest sale price was ₱42.45 and lowest sale price was ₱36.75. The price information as of the close of September 30, 2025 was ₱38.30.

Dividends Information



On February 24, 2025, the Board of Directors during its meeting, approved the declaration of cash dividends amounting to ₱1.841 per share on the outstanding common shares, ₱0.184 per share on the outstanding unlisted participating preferred shares, and accumulated fixed cash dividends of ₱0.01 per share on the outstanding unlisted participating preferred shares. The record date is March 10, 2025, and payment date is March 28, 2025.

APPENDIX C

Summary of Corporate Disclosures as of the 3rd Quarter of 2025

As part of its commitment to promote the corporate values of transparency and accessibility of material information to its investors, the Company fully complies with the reporting and disclosure requirements of the law as well as the relevant rules and regulations issued by the SEC and the PSE. The Company adopts a policy of prompt and accurate disclosure of all information that may be material to the investing public. The Company conducts quarterly investors' and analysts' briefings and regular meetings with shareholders and fund managers to keep them up to date on matters affecting the business of the Company.

Below is a summary of the corporate disclosures as of September 30, 2025.

Disclosure Date	Subject/Description
January 6, 2025	ESOWN Certification as of 31 December 2024
January 6, 2025	Certification of Fully Payment of ESOWN Shares (December 2024)
January 8, 2025	Foreign Ownership as of 31 December 2024
January 8, 2025	Report on Number of Shareholders as of 31 December 2024
January 16, 2025	List of Top 100 Stockholders (Common Shares)
January 16, 2025	Public Ownership Report
February 3, 2025	Change in Shareholdings of Independent Director, Octavio Victor R. Espiritu
February 5, 2025	Statement of Changes in Beneficial Ownership of Securities of Mr. Octavio Victor R. Espiritu
February 5, 2025	ESOWN Certification as of 31 January 2025
February 5, 2025	Certification of Fully Payment of ESOWN Shares (January 2025)
February 17, 2025	Notice of Analysts' Briefing/Investor's Briefing
February 20, 2025	Statement of Changes in Beneficial Ownership of Securities of Ms. Shoebe Hazel B. Caong
February 20, 2025	Change in Shareholdings of Ms. Shoebe Hazel B. Caong
February 20, 2025	Amended Public Ownership Report
February 24, 2025	Notice of Annual or Special Stockholders' Meeting
February 24, 2025	Full Year 2024 Financial and Operating Results
February 24, 2025	Declaration of Cash Dividends on Unlisted Preferred Shares
February 24, 2025	2024 Audited Financial Statements
February 24, 2025	Declaration of Cash Dividends on Common Shares
February 28, 2025	Change in Shareholdings of Independent Director, Octavio Victor R. Espiritu
February 28, 2025	Change in Shareholdings of Independent Director, Eric Ramon O. Recto
March 04, 2025	Statement of Changes in Beneficial Ownership of Securities of Independent Director, Eric Ramon O. Recto
March 05, 2025	Report on the Number of Shareholders as of 28 February 2025
March 05, 2025	Foreign Ownership as of 28 February 2025
March 06, 2025	Statement of Changes in Beneficial Ownership of Securities of Independent Director, Octavio Victor R. Espiritu
March 07, 2025	Change in Shareholdings of Lead Independent Director, Sherisa P. Nuesa
March 07, 2025	ESOWN Certification as of 28 February 2025
March 07, 2025	Certification of Fully Payment of ESOWN Shares (February 2025)
March 10, 2025	Statement of Changes in Beneficial Ownership of Securities of Lead Independent Director, Sherisa P. Nuesa
March 10, 2025	Preliminary Information Statement for Annual Stockholders' Meeting
March 13, 2025	2nd Quarter 2025 Foreign Currency Differential Adjustment
March 14, 2025	List of Stockholders as of 10 March 2025
March 14, 2025	Amended List of Stockholders as of 10 March 2025
March 25, 2025	Definitive Information Statement for Annual Stockholders' Meeting
March 26, 2025	Amendment to Notice of Annual Stockholders' Meeting
April 4, 2025	Material Information/Transactions: Termination of Lambunao Joint Venture
April 4, 2025	Foreign Ownership as of 31 March 2025
April 4, 2025	Report on the Number of Shareholders as of 31 March 2025
April 8, 2025	Sale of Treasury Shares: Vesting of Shares Under the Stock Incentive Plan (SIP)
April 8, 2025	Clarification of News Article: "Manila Water looks inward" posted in philSTAR.com on April 7, 2025
April 08, 2025	ESOWN Certification as of 31 March 2025
April 10, 2025	Change in Shareholdings of Director/Officer, Jose Victor Emmanuel A. De Dios
April 11, 2025	Annual Report

Disclosure Date	Subject/Description
April 11, 2025	Change in Shareholdings of Independent Director, Cesar A. Buenaventura
April 14, 2025	List of Top 100 Stockholders (Common Shares)
April 14, 2025	Certification to the Top 100 Stockholders of Manila Water Company, Inc. as of March 31, 2025
April 14, 2025	Vesting of Shares Under the Stock Incentive Plan (SIP)
April 15, 2025	Statement of Changes in Beneficial Ownership of Securities of Mr. Cesar A. Buenaventura
April 15, 2025	Change in Shareholdings of President and Chief Executive Officer, Jose Victor Emmanuel A. De Dios
April 15, 2025	Change in Shareholdings of Group Director - Corporate Human Resources, Janine T. Carreon
April 15, 2025	Change in Shareholdings of CFO and Treasurer, Gigi Iluminada T. Miguel
April 15, 2025	Change in Shareholdings of Group Director - Corporate Communication Affairs, Nestor Eric T. Sevilla, Jr.
April 15, 2025	Change in Shareholdings of Group Controller, Ana Mari B. Bentilanon
April 15, 2025	Change in Shareholdings of COO - International Business concurrent Chief Administrative Officer, Roberto Jose R. Locsin
April 15, 2025	Change in Shareholdings of Chief Legal Officer and Chief Compliance Officer, Amabelle C. Asuncion
April 15, 2025	Change in Shareholdings of Group Director - Strategic Asset Management, Evangeline M. Clemente
April 15, 2025	Public Ownership Report
April 15, 2025	Certification of Full Payment of ESOWN Shares (March 2025)
April 16, 2025	Change in Shareholdings of Chief Operating Officer - East Zone, Arnold Jether A. Mortera
April 16, 2025	Change in Shareholdings of Director and Chief Regulatory Officer, Donato C. Almeda
April 22, 2025	Results of the 2025 Annual Stockholders' Meeting
April 22, 2025	Results of the Organizational Board Meeting
April 23, 2025	Sale of Treasury Shares: Vesting of Shares Under the Stock Incentive Plan (SIP)
April 24, 2025	2025 General Information Sheet of Manila Water Company, Inc.
April 28, 2025	Change in Shareholdings of Human Resources Group Director - Enterprise, Janine T. Carreon
April 28, 2025	Change in Shareholdings of President and Chief Executive Officer, Jose Victor Emmanuel A. De Dios
April 29, 2025	Amended Results of the 2025 Annual Stockholders' Meeting
April 29, 2025	Amended Results of the Organizational Board Meeting of Manila Water Company Inc.
April 29, 2025	Initial Statement of Beneficial Ownership of Securities of Mr. Jose Eduardo J. Alarilla
April 29, 2025	Initial Statement of Beneficial Ownership of Securities of Mr. Stephen George A. Paradies
April 29, 2025	Initial Statement of Beneficial Ownership of Securities of Mr. Celso C. Tagle III
April 29, 2025	Change in Shareholdings of Chief Operating Officer - East Zone, Arnold Jether A. Mortera
April 29, 2025	Change in Shareholdings of Human Resources Group Director - Enterprise, Janine T. Carreon
April 29, 2025	Change in Shareholdings of Group Director - Strategic Asset Management, Evangeline M. Clemente
April 29, 2025	Change in Shareholdings of Communication Affairs Group Director-Enterprise, Nestor Eric T. Sevilla
April 29, 2025	Change in Shareholdings of President and Chief Executive Officer, Jose Victor Emmanuel A. De Dios
April 29, 2025	Change in Shareholdings of COO - International Business concurrent Chief Administrative Officer, Roberto Jose R. Locsin
April 30, 2025	Change in Shareholdings of Chief Finance Officer, and Treasurer, Gigi Iluminada T. Miguel
April 30, 2025	Change in Shareholdings of Group Controller, Ana Mari B. Bentilanon
April 30, 2025	Change in Shareholdings of Director and Chief Regulatory Officer, Donato C. Almeda
April 30, 2025	Change in Shareholdings of Corporate Secretary, Chief Legal Officer and Chief Compliance Officer, Amabelle C. Asuncion
May 2, 2025	Change in Shareholdings of Lead Independent Director, Sherisa P. Nuesa
May 2, 2025	Notice of Analysts' Briefing
May 8, 2025	Change in Shareholdings of Lead Independent Director, Sherisa P. Nuesa.
May 8, 2025	Change in Shareholdings of Chief Operating Officer - International Business and Chief Administrative Officer, Roberto Jose R. Locsin
May 8, 2025	Change in Shareholdings of Communications Affairs Group Director - Enterprise, Nestor Eric T. Sevilla

Disclosure Date	Subject/Description
May 8 2025	Change in Shareholdings of President and Chief Executive Officer, Jose Victor Emmanuel A. De Dios
May 8 2025	Change in Shareholdings of Chief Finance Officer and Treasurer, Gigi Iluminada T. Miguel
May 8 2025	Change in Shareholdings of Director and Chief Regulatory Officer, Donato C. Almeda
May 8 2025	Change in Shareholdings of Corporate Secretary, Chief Legal Officer and Chief Compliance Officer, Amabelle C. Asuncion
May 8 2025	Change in Shareholdings of Strategic Asset Management Group Director - East Zone, Evangeline M. Clemente
May 8 2025	Change in Shareholdings of Chief Operating Officer - East Zone, Arnold Jether A. Mortera
May 8 2025	Foreign Ownership as of 30 April 2025
May 8 2025	ESOWN Certification as of 30 April 2025
May 8 2025	Report on the Number of Shareholders as of 30 April 2025
May 9 2025	Quarterly Report
May 9 2025	Unaudited Performance Results for the First Quarter of 2025
May 13, 2025	Change in Shareholdings of Human Resources Group Director - Enterprise, Janine T. Carreon
May 13, 2025	Change in Shareholdings of Finance Group Director, Group Controllershship, Ana Mari B. Bentilanon
May 30 2025	Integrated Annual Corporate Governance Report
June 04, 2025	Certification of Full Payment of ESOWN Shares as of 30 April 2025
June 05, 2025	Report on the Number of Shareholders as of 31 May 2025
June 05, 2025	ESOWN Certification as of 31 May 2025
June 09, 2025	Foreign Ownership as of 31 May 2025
June 13 2025	3rd Quarter 2025 Foreign Currency Differential Adjustment
June 19 2025	Change in Shareholdings of COO - International Business concurrent Chief Administrative Officer, Roberto Jose R. Locsin
June 19 2025	Clarification of News Article: "Maynilad, Manila Water contracts extended" posted in Inquirer.net on June 19, 2025
June 24 2025	Change in Shareholdings of Corporate Secretary, Chief Legal Officer and Chief Compliance Officer, Amabelle C. Asuncion
June 24, 2025	Change in Shareholdings of Group Director, East Zone Business Operations/Data Protection Officer, Shoebe Hazel B. Caong
June 24, 2025	Change in Shareholdings of Lead Independent Director, Sherisa P. Nuesa
June 26 2025	Change in Shareholdings of Lead Independent Director, Sherisa P. Nuesa
June 30 2025	Manila Water Company, Inc. ("MWC") acquires 100% ownership interests in WawaJVCo, Inc. ("WawaJVCo") from Prime Infrastructure Inc. ("PII") and minority shareholders.
July 01, 2025	Formal Notice of Approval by the Economy and Development Council re: Extension of Term of Revised Concession Agreement
July 03, 2025	Changes in Shareholdings of Lead Independent Director, Sherisa P. Nuesa
July 03, 2025	Report on Number of Shareholders as of 30 June 2025
July 04, 2025	Foreign Ownership Report as of 30 June 2025
July 04, 2025	Certification of Full Payment of ESOWN Shares as of 31 May 2025
July 07, 2025	ESOWN Certification as of 30 June 2025
July 09, 2025	Changes in Shareholdings of COO, International Business and Chief Administrative Officer, Roberto Jose R. Locsin
July 09, 2025	Changes of Shareholdings of Group Director, East Zone Business Operations/Data Protection Officer, Shoebe Hazel B. Caong
July 09, 2025	Change in Shareholdings of Corporate Secretary, Chief Legal Officer and Chief Compliance Officer, Amabelle C. Asuncion
July 15, 2025	List of Top 100 Stockholders (Common Shares)
July 15, 2025	Public Ownership Report as of 30 June 2025
August 04, 2025	Notice of Analysts' Briefing
August 04, 2025	Certification of Full Payment of ESOWN Shares as of 30 June 2025
August 07, 2025	Foreign Ownership as of 31 July 2025
August 07, 2025	Report on Number of Shareholders as of 31 July 2025
August 07, 2025	ESOWN Certification as of 31 July 2025
August 08, 2025	Quarterly Report for the period ended 30 June 2025
August 08, 2025	Unaudited Performance Results for the First Half of 2025
August 08, 2025	Change in Designation of Officer
August 08, 2025	Acquisition of WawaJVCo, Inc. from Prime Infrastructure, Inc. ("PII")
August 22, 2025	Change in Shareholdings of Lead Independent Director, Sherisa P. Nuesa
September 01, 2025	Changes in Shareholdings of Lead Independent Director, Sherisa P. Nuesa

Disclosure Date	Subject/Description
September 04, 2025	Foreign Ownership as of 31 August 2025
September 04, 2025	Report on Number of Shareholders as of 31 August 2025
September 05, 2025	Full Divestment of Common Shares owned by Manila Water (Thailand) Co., Ltd. in Eastern Water Resources Development and Management Public Company Limited
September 05, 2025	ESOWN Certification as of 31 August 2025
September 08, 2025	Certification of Full Payment of ESOWN Shares as of 31 July 2025
September 12, 2025	4th Quarter 2025 Foreign Currency Differential Adjustment
September 30, 2025	Acquisition of WawaJVCo, Inc. from Prime Infrastructure, Inc. ("PII")

For more details on these disclosures, please visit the Parent Company's website at www.manilawater.com.

APPENDIX D

East Zone Operations: Performance Indicators and Business Efficiency Measures As of September 30, 2025

Key Performance Indicators	Target**	Actual
Domestic Water Service Connections	13,637 ¹	16,179 ²
Continuity of Water Supply (24-hour supply) at 7psi	98.00%	98.95%
Water Quality at Plant Outlet (% compliance with PNSDW)	100.00%	100%
Water Quality in Distribution (% compliance with PNSDW)	95.00%	99.78%
Sampling (% compliance with PNSDW)	100.00%	100.38%
Sewerage Connections*	54,312	*360,966 (cumulative)
Sanitation (no. of septic tanks emptied)	127,212 ¹	103,535 ²
Wastewater Effluent Quality (% compliance with DENR standards)	95.00%	100.00%
Response to customer service complaints (% of complaints resolved within 10 days)	95.00%	99.90%
Response to billing complaints (% of complaints resolved within 10 days)	92.00%	99.89%
Response to request for new connections (% of requests responded to within 5 days)	95.00%	99.96%
Installation of new water service connections (no. of new water service connections installed within 7 days over the total no. of approved applications with paid connection fees) year-to-date ³	95.00%	99.38%
Response to disruptive mains failure (% of disruptive main failures repaired within 24 hours)	95.00%	100.00%

Business Efficiency Measures	Target**	Actual
Billed Volume (mcm)	556.00 ¹	393.83 ²
Revenue Collection Rate	98.00%	98.48%
Labor Cost (in million PhP)	3,817.00 ¹	1,787 ²
Power Consumption (in million Kwh)	226.00 ¹	114.80 ²
Power Cost (in million pesos)	2,233.00 ¹	1,095.31 ²
Total Controllable OPEX (in million PhP)	5,229.00 ¹	2,159.57 ²
CAPEX (in million PhP) ⁴	23,131.00 ¹	10,576.18 ⁴
Non-Revenue Water % (YTD Average)	15.00%	14.35%

NOTE:

- Based on RR23 Approved Service Improvement Plan (SIP)
- In accordance with the franchise, 2025 figures are progressive indicators towards targets measurable on the compliance year (2026)
- Assumptions are to be reviewed regularly and calibration may be conducted as necessary in coordination with MWSS
- Targets are subject to further review in the next rebasing exercise (Rate Rebasing 2028)

¹ Year-end targets

² Year-to-date actual figures

³ Excluding connections related to new pipeline projects

⁴ Year-to-date total CAPEX net of interest during construction, engineering & supervision, including concession fees.

* Cumulative figures from 1997

** In accordance with the franchise, 2024 figures are progressive indicators towards targets measurable on the compliance year (2026)

APPENDIX E

Schedule of Average Tariff*

	September 30, 2025	December 31, 2024	September 30, 2024
Previous Basic	₱42.26	₱35.86	₱35.86
CPI	1.39	1.26	1.26
Rate Rebasing (RR)	3.45	5.14	5.14
Total Basic Water	₱47.10	₱42.26	₱42.26
FCDA**	0.53	0.86	—
EC***	11.78	10.57	10.57
TOTAL	59.41	53.69	52.83
Government Tax****	1.54	1.39	1.37
TOTAL w/ Franchise Tax	₱60.95	₱55.08	₱54.20

* Pertains to the Parent Company only. Average tariff in the table above are based on the rates approved by the MWSS, with consideration of other factors such as CPI, RR adjustment, FCDA, EC and franchise tax, while the average tariff shown in the MDA portion of this report is computed as EZ water revenue and environmental charges over billed volume.

**Foreign Currency Differential Adjustment (FCDA) is a rate adjustment mechanism for the recovery or compensation on a current basis of accrued foreign exchange losses or gains arising from the Parent Company's payment of specific concession loans identified in the Revised Concession Agreement, as amended. These adjustments are subject to quarterly review of the MWSS-RO.

***Effective January 1, 2023, Environmental Charge is 25% of the Water Charge.

****Effective March 21, 2022, Manila Water bill has been subject to Franchise Tax and no longer to VAT. Estimated average government tax of 2.598% is to be remitted in total as Franchise Tax to National and relevant Local Government.

The tariff which is approved by MWSS represents the indicative rate applied to the whole East Concession area. The percentage increase on the basic charge is applied universally across the Manila Water Standard Tariff Table.